

NOTE: This draft is for indicative purposes only and is provided on a non-reliance basis. These amendments have not yet been implemented; the HKSCC Operational Procedures remain subject to change prior to the effective date of these amendments.

HKSCC Operational Procedures

Definitions

(a) For the convenience of readers, the definitions contained in the Rules are repeated below.

“approved securities registrar” or “ASR”

has the meaning given by section 1 of Part 1 of Schedule 1 to the Securities and Futures Ordinance;

“ASR fees”

means fees charged by an ASR in relation to prescribed securities, and to be paid by Participants (other than Registrar Participants) in accordance with Sections 21.5B and 22.2A of the Operational Procedures;

“authenticated message”

has the meaning given by rule 15(1) of the USM Rules;

“Collector of Stamp Revenue”

means the Collector of Stamp Revenue appointed under section 3 of the Stamp Duty Ordinance;

“Electronic Payment Instruction” or “EPI”

means a payment instruction generated by HKSCC and forwarded for processing to the Designated Bank of a Participant via the Clearing House of HKAB, to effect (i) money settlement between two Participants in relation to Isolated Trades or SI or ISI Transactions in CCASS on a DVP basis; (ii) payment of money by Clearing Participants or Custodian Participants to their SSA Statement Recipients in respect of STI Transfers on a DVP basis; (iii) payment of fees and expenses by Participants other than Investor Participants to HKSCC for CCASS services; ~~or~~ (iv) redelivery to China Connect Clearing Participants of Collateral provided to HKSCC for the early release of China Connect Securities that are Securities-on-hold; (v) payment of money to the Collector of Stamp Revenue in accordance with Stamp Duty Payment Requests; or (vi) payment of ASR fees;

“messaging facilities”

means the messaging facilities provided by HKSCC as set out in Section 8A of the Operational Procedures;

“New Certificate”

means, in relation to Eligible Securities in registered form, each certificate for such Eligible Securities which has been registered or ~~re~~-issued in the name of HKSCC or its nominee since it was last deposited with HKSCC by a Participant or, in the case of Eligible Securities newly issued, each certificate issued in the name of HKSCC or its nominees;

“Participant”

means a person admitted for the time being by HKSCC as a participant ~~of CCASS~~;

“Participant Agreement”

means the agreement in prescribed form between a Participant other than an Investor Participant and HKSCC regulating the terms and conditions of participation in CCASS or the agreement in prescribed form between a Registrar Participant and HKSCC;

“participating securities”

has the meaning given to it by rule 4 of the USM Rules;

“prescribed securities”

has the meaning given to it in section 101AA of the Securities and Futures Ordinance;

“Registrar Participant” or “RP”

has the meaning given to “registrar participant” in section 1 of Part 1 of Schedule 1 to the Securities and Futures Ordinance, being a Participant admitted to participate in HKSCC as a Registrar Participant under Rule 303;

“Registrar Participant Admission Criteria”

means the eligibility criteria in Rule 303 and any additional eligibility criteria which HKSCC may prescribe from time to time for a Registrar Participant to be, and to remain, admitted as a Registrar Participant as referred to in Rule 303;

“Registrar Participant Manual”

means the manual setting out the operational and technical standards, requirements, procedures and guidelines for Registrar Participants, as may be amended from time to time;

“securities registrar service”

has the meaning given by section 1 of Part 1 of Schedule 1 to the Securities and Futures Ordinance;

“Stamp Authorized Person”

means a Participant that has been authorised by the Collector of Stamp Revenue under section 5AA(2) of the Stamp Duty Ordinance and notified to HKSCC as such;

“Stamp Duty Payment Request”

means a request submitted by a Stamp Authorized Person to make stamp duty payments to the Collector of Stamp Revenue;

“Uncertificated Eligible Security”

means an Eligible Security (other than a Foreign Security, ~~or a China Connect Security~~ or a participating security) issued by an Overseas Issuer in ~~uncertificated scripless~~ form and designated by HKSCC as an “Uncertificated Eligible Security” for the purposes of the Rules;

“USI facility”

has the meaning given to “USI facility” in section 1.1 of the Commission’s Code of Conduct for Approved Securities Registrars;

“USI Transfer Request”

means a request by a Stamp Authorized Person for the deposit or withdrawal of participating securities in uncertificated form into or out of the relevant Stock Account of the Stamp Authorized Person in CCASS by effecting a legal title transfer of such participating securities between HKSCC (or its nominee) and the holder of such securities with a USI facility with the relevant Registrar Participant, as referred to in Rules 801B and 812A;

“USM Rules”

means the Securities and Futures (Uncertificated Securities Market) Rules made by the Commission under the Securities and Futures Ordinance, as amended and in force from time to time;

- (b) When used in the Operational Procedures, the following expressions shall have the following meanings unless the context otherwise requires:-

“Alternate Designated Officer”

means, in relation to a Participant other than an Investor Participant, a person designated by that Participant as being, in the absence of the Designated Officer of that Participant, the person to be contacted by HKSCC in respect of matters relating to that Participant's daily operations in CCASS and/or other System(s), as referred to in Section 2.6;

“Authorised Signatories”

means, in relation to a Participant other than an Investor Participant, the persons authorised by that Participant in the manner prescribed by HKSCC as being authorised to give written instructions to HKSCC in connection with any matters relating to the Participant's participation and operations in CCASS and/or other System(s), as referred to in Section 2.5;

“Designated Officer”

means, in relation to a Corporate Investor Participant and a Participant other than an Investor Participant, a person designated by that Participant as being the person to be contacted by HKSCC in respect of matters relating to that Participant's daily operations in CCASS and/or other System(s), as referred to in Section 2.6;

“implementation date”

means the day on which section 7 of the Securities and Futures and Companies Legislation (Amendment) Ordinance 2021 comes into operation;

“participation date”

has the meaning given by rule 4(3) of the USM Rules;

“register of holders”

has the meaning given by rule 2(1) of the USM Rules;

Section 1

Introduction

1.4 ADDITIONAL SERVICES

HKSCC, as TSF operator, may also provide FX Services to TSF CCASS Participants for the purpose of facilitating the settlement of (i) TSF FX Transactions arising from TSF Exchange Trades; and (ii) Stock Release FX Transactions arising from Stock Release Requests.

HKSCC, as agreed with the Collector of Stamp Revenue, may also provide stamp duty payment services to facilitate Stamp Authorized Persons to make stamp duty payments pursuant to Stamp Duty Payment Requests.

Section 2

Participants

2.1 ADMISSION OF PARTICIPANTS

2.1.1 Categories of Participants

There are ~~eight~~seven categories of Participants, namely:-

(vi) Stock Lender Participants; ~~and~~

(vii) Stock Pledgee Participants; and

(viii) Registrar Participants.

2.1.4 Processing of applications

Before being formally admitted as a Participant, an applicant has to fulfil the admission criteria and other requirements including the payment of an admission fee for Participants other than Investor Participants and Registrar Participants and signing of the Participant Agreement or Terms and Conditions, as applicable.

2.2 ADMISSION FEE

2.2.1 Amount of admission fee

Before being formally admitted as a Participant other than an Investor Participant and a Registrar Participant, an applicant must pay an admission fee to HKSCC as follows:-

2.2.3 Use of admission fees

The admission fees payable by Participants other than Investor Participants and Registrar Participants are intended to assist in financing the operations and enhancements of CCASS and the development of new and ancillary services to CCASS by HKSCC.

2.3 STOCK ACCOUNTS AND CCMS COLLATERAL ACCOUNTS

This Section 2.3 is not applicable to Registrar Participants.

2.4 MONEY LEDGER

This Section 2.4 is not applicable to Registrar Participants.

2.5 AUTHORISED SIGNATORIES

2.5.1 Subject to 2.5.2, each Participant (other than an Investor Participant or a Registrar Participant) must provide HKSCC with a list of authorised persons as its Authorised Signatories to give written instructions to HKSCC in connection with any matters relating to its participation and operations in CCASS and/or other System(s) and to perform, inter alia, any or all of the following functions on behalf of the Participant:-

- (a) authorise deposits and withdrawals of securities into and from its Stock Accounts, other than Stock Collateral Control Account or TSF Accounts (if the Participant is a TSF CCASS Participant), in CCASS and sign (where applicable) and submit the relevant forms to HKSCC, ~~and “sign”, in relation to Stock Deposit Forms, includes the affixing or making of a stamped impression of the signature;~~

2.5.1A Each Registrar Participant must provide HKSCC with a list of authorised persons as its Authorised Signatories to give written instructions and messages to HKSCC in connection with any matters relating to its participation and operations in a System, including appointing personnel to manage access to the System.

2.6 DESIGNATED OFFICER AND ALTERNATE DESIGNATED OFFICER

Each Participant other than an Investor Participant must designate a person as its Designated Officer, and in his absence, an Alternate Designated Officer as being the person to be contacted by HKSCC in case of need in respect of matters relating to such Participant's daily operations in CCASS and/or other System(s).

Section 3

CCASS Terminals/CCASS Internet System/ Participant Gateways/RMS

This Section 3 is not applicable to Registrar Participants.

3.5 ACCESS CONTROL OF CCASS TERMINALS AND PARTICIPANT GATEWAYS

3.5.4 Input Transaction Limit of an Authorised User

The extent to which a particular Authorised User of a Participant can input via a CCASS Terminal certain instructions (other than Tender Instructions) into CCASS will be determined by the Input Transaction Limit (if any) specified by the Participant for that Authorised User.

Instructions which can be made subject to Input Transaction Limits ~~are~~ includes:-

- (vi) Input Recall Requests;
- (vii) Change Cash Compensation Indicators; ~~and~~
- (viii) Cash Prepayment Instructions; and
- (ix) USI Transfer Requests.

Save in the case of SIs, ISIs, ~~and~~ Cash Prepayment Instructions and USI Transfer Requests, instructions input into CCASS by an Authorised User of a Participant via a CCASS Terminal which exceed his Input Transaction Limit will not be entertained by HKSCC. If an SI, ISI, ~~or~~ Cash Prepayment Instruction or USI Transfer Request input into CCASS by an Authorised User of a Participant via a CCASS Terminal exceeds his Input Transaction Limit, the respective instruction will remain pending the authorisation of another Authorised User of the Participant with the necessary Input Transaction Limit. In general, the value of the Eligible Securities which are subject to instructions input into CCASS via a CCASS Terminal by an Authorised User will be compared with any Input Transaction Limit applicable to him. For further details, please see the CCASS Terminal User Guide.

Section 4

Back-Up Centre/Customer Service Centre

This Section 4 is not applicable to Registrar Participants.

4.1 INTRODUCTION

4.1.3 Service hours of Back-Up Centre

The service hours of the Back-Up Centre ~~is~~ are from 9:00 a.m. to ~~6~~5:00 p.m., Monday to Friday (except public holidays) (or such time as HKSCC may determine from time to time).

4.2 CUSTOMER SERVICE CENTRE

4.2.2 Service hours of Customer Service Centre

The service hours of the Customer Service Centre are between 9:00 a.m. and ~~6~~5:00 p.m., Monday to Friday (except public holidays) (or such time as HKSCC may determine from time to time).

Section 5

Eligible Securities

5.1 SECURITIES ACCEPTED AS ELIGIBLE SECURITIES

Securities which are listed or admitted to trading on the Exchange, as well as securities which are not listed or admitted to trading on the Exchange, may be accepted as Eligible Securities by HKSCC. These may include: -

- (v) ~~provisional allotment letters relating to~~ nil paid rights;

Section 6

Operational and Service Schedule

This Section 6 is not applicable to Registrar Participants. Registrar Participants should refer to the Registrar Participant Manual for the availability of messaging facilities for the transmission of messages with HKSCC.

6.2 DAILY PROCESSING AND SERVICE SCHEDULE FOR PARTICIPANTS OTHER THAN INVESTOR PARTICIPANTS

6.2.1 Daily Processing and Service Schedule in relation to Eligible Securities Other than China Connect Securities

For the purpose of this Section 6.2.1, references to “Eligible Securities” shall mean Eligible Securities other than China Connect Securities.

Time	CCASS (including Participant Gateway, RMS and report access facility) events
7:00 a.m.	Revaluation of General Collateral Inventory Commencement of RMS for retrieval of reports and data files
7:15 a.m.	Commencement of the following services and functions through CCASS Terminal and Participant Gateway where applicable:- (i) clearing services (SI and ATI/STI upload functions); and (ii) clearing and settlement services enquiry functions and Enquire Broadcast Message function. All previous day’s reports are available for retrieval through Participant Gateway and the report access facility
<u>7:30 a.m.</u>	<u>Commencement of USI Transfer Request maintenance and upload functions</u>
8:00 a.m.	Commencement of the following services and functions through CCASS Terminal and Participant Gateway where applicable:- (i) clearing services (SI/ISI maintenance and ISI upload functions); (ii) ATI/STI and Mass ATI/STI maintenance functions;

- (iii) SSA maintenance and upload functions;
- (iv) Cash Prepayment Instruction, Cash Prepayment / TSF Payment Standing Instruction, Intra-day Payment Standing Instruction and Nominee Payment (Evening) Standing Instruction maintenance functions;
- (v) subscription, election, voting instructions, Tender Instructions (except where such day is the tender or application start date) and Corporate Representative / Proxy instructions maintenance functions; ~~and~~
- (vi) CA ISO Message Service maintenance functions;
- (vii) Login Deposit/Demat Order maintenance and upload functions;
and
- (viii) Stamp Duty Payment Request maintenance functions.

9:00 a.m.

Commencement of the following services and functions through CCASS Terminal and Participant Gateway where applicable:-

- (i) [Repealed]
- (ii) Tender Instructions (if such day is the tender or application start date) maintenance function; and
- (iii) Collateral Security maintenance and upload functions.

First batch of scrip entitlement distribution

Commencement of ~~ETF bBook -eEntry dDeposit and/ wWithdrawal eOrders~~ maintenance functions

9:15 a.m.

Commencement of Unit Creation / Redemption Orders maintenance functions

First SI matching

First STI Batch-run

9:30 a.m.

Commencement of the following services and functions, through CCASS Terminal and Participant Gateway where applicable:-

- (i) settlement services (DI input, input of recall and return request, if appropriate);
- (ii) Stock Release Request maintenance functions for TSF CCASS Participants;

(iii) ~~[Repealed] depository services (deposits and withdrawals of Eligible Securities by Participants);~~

(iv) submission of Transfer Instructions; and

(v) CCMS services.

Commencement of CCASS Depository services for delivery and collection of certificates

9:45 a.m.	Second batch of scrip entitlement distribution
10:00 a.m.	Second SI matching
	Second STI Batch-run
	First Collateral Security Batch-run
	Commencement of online services through RMS
10:15 a.m.	First TSF Share De-earmarking Process
10:30 a.m.	First Batch-settlement-run
11:00 a.m.	Revaluation of General Collateral Inventory and collateralization of intra-day Marks, and (if HKSCC collects intra-day Margin on such date which is a Trading day with no Afternoon Session) intra-day Margin
	Deadline for inputting subscription instructions which involve the collection of subscription monies by CPIs: or where the deadline for subscription imposed by the relevant Issuer falls on such day
11:30 a.m.	Third SI matching
	Third batch of scrip entitlement distribution
11:45 a.m.	Second TSF Share De-earmarking Process
12:00 noon	Deadline for inputting election instructions where the deadline for election imposed by the relevant Issuer falls on such day
	Deadline for submitting Transfer Instructions to be effected on the same day on a delivery versus payment basis in CMU to HKSCC
	Second Batch-settlement-run
12:45 p.m.	Third STI Batch-run
	Second Collateral Security Batch-run

1:00 p.m. (after)	First batch of Corporate Announcement Master Data File and Corporate Announcement Maintenance Activities Report available
1:15 p.m.	Deadline for inputting Intra-day Payment Standing Instructions in order to have such instructions effected on the same day
1:30 p.m.	Fourth SI matching Fourth batch of scrip entitlement distribution
1:45 p.m.	Third TSF Share De-earmarking Process
2:00 p.m.	Third Batch-settlement-run Deadline for submitting Transfer Instructions to be effected on the same day on a free of payment basis in CMU to HKSCC Deadline for inputting Cash Prepayment Instructions with “CHATS” selected as the payment method Deadline for submitting Tender Instructions to HKSCC in respect of an issue of Government Bonds or CMU Instruments whose application lists close on such day Collateralization of intra-day Margin (if HKSCC collects intra-day Margin on such date which is a normal Trading day)
2:00 p.m. (after)	Final Clearing Statement or FCS in respect of Exchange Trades effected on or reported to the Exchange and Clearing Agency Transactions concluded on previous day, available to Clearing Participants and Clearing Agency Participants
2:30 p.m.	Fifth SI matching Deadline for inputting Cash Prepayment Instructions with “OTHERS” selected as the payment method
2:30 p.m. (around)	Generation of Intra-day Payment Instructions by HKSCC
3:00 p.m.	Close of ETF b Book- e Entry d Deposit and/ w Withdrawal e Orders maintenance functions
3:15 p.m.	Sixth SI matching Fifth batch of scrip entitlement distribution
3:30 p.m.	Fourth STI Batch-run Fourth TSF Share De-earmarking Process

	Deadline for inputting Nominee Payment (Evening) Standing Instruction in order to have the evening distribution of nominee payment to start on the same day, subject to acceptance of the Nominee Payment (Evening) Standing Instruction by HKSCC
3:30 p.m. (after)	Second batch of Corporate Announcement Master Data File and Corporate Announcement Maintenance Activities Report available
3:45 p.m.	Close of clearing <u>and</u>, settlement and depository services (except for enquiry <u>and</u>, report retrieval and collection of securities) <u>Close of CCASS Depository services for delivery of certificates for deposit</u> Close of subscription instruction maintenance functions Close of CCMS stock transfer maintenance service Deadline for the input of Tender Instructions to HKSCC in respect of the issue of Exchange Fund Notes or Specified Instruments, the deadline being two Business Days before the tender date (as specified in the tender notice) Seventh SI matching Final Batch-settlement-run
4:00 p.m.	Close of Stock Release Request maintenance functions for TSF CCASS Participants
4:00 p.m. (after)	Subscription instruction maintenance functions re-open (HKSCC will announce by broadcast message when subscription instruction maintenance functions re-open) Second session of ATI input service commences (HKSCC will announce by broadcast message when the second session of ATI input service is available to Participants) and CCMS stock transfer maintenance services commence
4:05 p.m. (around)	Generation of DDIs, DCIs and EPIs by HKSCC for same day settlement
4:15 p.m.	Deadline for inputting voting instructions and Corporate Representative/Proxy instructions where the deadline prescribed by HKSCC for inputting such instructions falls on such day Sixth batch of scrip entitlement distribution First TSF Share Earmarking Process

Fifth TSF Share De-earmarking Process

Close of Login Deposit/Demat Order upload functions

4:25 p.m. Close of Unit Creation/ Redemption Orders maintenance functions

5:00 p.m. Eighth SI matching

Close of Login Deposit/Demat Order maintenance functions

Close of CCASS Depository services for collection of certificates for withdrawal

5:00 p.m. (after) Commencement of the second session of clearing services (SI/ISI maintenance and upload) (HKSCC will announce by broadcast message when second session of clearing services is available to Participants)

First batch of PCS in respect of Exchange Trades effected on or reported to the Exchange current day available to Clearing Participants and Clearing Agency Participants

Fifth STI Batch-run (for STI Transfers to be effected on FOP basis only)

Third Collateral Security Batch-run

5:15 p.m. Seventh batch of scrip entitlement distribution

6:00 p.m. Close of Collateral Security maintenance and upload functions

Final SI matching

Eighth batch of scrip entitlement distribution

Fourth Collateral Security Batch-run

Close of USI Transfer Request upload functions

6:00 p.m. (after) Settled Position Report and third batch of Corporate Announcement Master Data File and Corporate Announcement Maintenance Activities Report available

7:00 p.m. Close of SI/ISI maintenance and ISI upload, Cash Prepayment / TSF Payment Standing Instruction maintenance, Intra-day Payment Standing Instruction maintenance, Nominee Payment (Evening) Standing Instruction maintenance, CCMS cash transfer and stock collateral maintenance services and Tender Instructions, subscription, election, voting, Corporate Representative/Proxy instructions

maintenance functions, and CA ISO Message Service, [USI Transfer Request and Stamp Duty Payment Request](#) maintenance functions

Deadline for inputting subscription instructions where the deadline for subscription imposed by the relevant Issuer falls on the next Business Day at or before 12:00 noon

Ninth batch of scrip entitlement distribution

7:15 p.m. (after)	Revaluation of General Collateral Inventory and collateralization of day-end Marks, and day-end Margin
7:30 p.m.	Close of ATI/STI maintenance and SI upload functions Online services through RMS close
7:45 p.m.	Close of Mass ATI/STI maintenance function
8:00 p.m.	Final batch of scrip entitlement distribution Close of all enquiries, except for CCMS enquiry and Enquire Broadcast Message functions Close of ATI/STI upload functions
8:00 p.m. (after)	Second batch of PCS in respect of Exchange Trades effected on or reported to the Exchange and Clearing Agency Transactions concluded on current day available to Clearing Participants and Clearing Agency Participants Final STI Batch-run (for STI Transfers to be effected on FOP basis only)
8:30 p.m.	Second TSF Share Earmarking Process CCMS enquiry functions close
8:30 p.m. (around)	Generation of DDIs, DCIs and EPIs by HKSCC for settlement on the next Business Day
9:30 p.m.	Report retrieval through Participant Gateway and Enquire Broadcast Message function through CCASS Terminal and Participant Gateway close
12:00 a.m.	Report retrieval through RMS and report access facility close

Notes :

- (i) ~~Deposit and withdrawal services for Eligible Securities subject to book-close dates will be closed at 12:00 noon and 2:00 p.m. respectively on the last Business Day before the~~

~~relevant book-close dates (where no book-close date is announced, HKSCC shall by broadcast message announce the cut-off time for deposit and withdrawal services with respect to the relevant Eligible Securities). Deposit and withdrawal services for eligible Debt Securities subject to CCASS Record Dates will be closed at 12:00 noon and 2:00 p.m. respectively on the relevant CCASS Record Date. Please see Section 8.2.6 for details on the availability of deposit and withdrawal services for Eligible Securities subject to book-close dates.~~

Section 7

Depository and Related Services

This Section 7 is not applicable to Registrar Participants.

7.1 CCASS DEPOSITORY SERVICES

7.1.1 Service Hours of CCASS Depository

The CCASS Depository currently has ~~one a~~ physical outlet to cater for Participants to deliver and collect certificates ~~the deposit and withdrawal~~ of Eligible Securities ~~by Participants~~.

The service hour of the physical outlet of CCASS Depository is as follows (or such time as HKSCC may determine from time to time):-

Monday to Friday (except public holidays)
for the delivery of certificates~~deposit of securities~~: from 9:30 a.m. to 3:45 p.m.
for the collection of certificates~~securities~~: from 9:30 a.m. to 5:00 p.m.

7.2 OPERATING PRINCIPLES

7.2.1 Eligibility for services

Not all Participants are eligible to make deposits or withdrawals of Eligible Securities into or out of ~~the CCASS Depository~~.

This service is not generally available to Stock Pledgee Participants. Stock Pledgee Participants are not entitled to deposit Eligible Securities into CCASS and only have limited rights of withdrawal of Eligible Securities out of CCASS.

A Stock Pledgee Participant may only withdraw Eligible Securities out of CCASS in the case of a default by its counterparty pledgor Participant. In such a case, a Stock Pledgee Participant wishing to withdraw relevant Eligible Securities must notify HKSCC in advance and must complete a "Stock Pledgee Declaration Form", which is available on HKEX website, for submission to HKSCC ~~(see CCASS Terminal User Guide for Participants for the form)~~.

7.2.3 Immediate Credit for deposits of Eligible Securities in certificated form

Subject to security control vetting measures and HKSCC's right to reject a deposit, Eligible Securities in certificated form deposited by a Participant other than an Investor Participant will normally be immediately credited to that Participant's Stock Accounts, provided that the certificates have been delivered by such Participant and accepted by HKSCC.

Eligible Securities in certificated form deposited by an Investor Participant will not be credited to that Participant's Stock Account until ~~re~~-registration in the name of the Nominee has been completed and either: (i) new ~~share~~-certificates are received from the relevant ~~share~~-securities registrar; or (ii) the securities have been converted into uncertificated form, as applicable. During ~~the re-registrationsuch~~ period, these Eligible Securities may not be withdrawn or transferred to the Stock Accounts of other Participants. However, nominee services from HKSCC will be provided in respect of these Eligible Securities to such extent as HKSCC considers appropriate.

In some cases, for risk management purposes, Eligible Securities in certificated form deposited by a Participant may not be credited to its Stock Accounts until a later time, eg. upon registration of such securities in the name of the Nominee.

7.2.4 Registration in the name of Nominee

Upon acceptance of Eligible Securities for deposit, such Eligible Securities will normally be submitted to the registrars of the issuers of Eligible Securities for ~~re~~-registration in the name of the Nominee and either: (i) the issuance of new certificates; or (ii) the conversion of the securities into uncertificated form, as applicable.

7.2.5 Deposits and ~~W~~withdrawals of Eligible Securities in ~~C~~certificateds form

Participants may, at any time, withdraw Eligible Securities credited to their Stock Accounts, other than their Stock Collateral Control Accounts and where the Participants are TSF CCASS Participants, other than their TSF Accounts, from CCASS, subject to such conditions and restrictions as HKSCC may from time to time impose. Unless otherwise determined by HKSCC or provided in the Rules, Participants cannot physically deposit into or withdraw from CCASS or an Appointed Depository via HKSCC Eligible Securities which are ~~uncertificatedscripless~~ or issued in global form. Accordingly, physical deposit or withdrawal of China Connect Securities into or from CCASS or the relevant China Connect Clearing House is not available and Rules relating to the ~~physical~~ deposit and withdrawal of securities in certificated form are not applicable to China Connect Securities.

Participating securities that are held by HKSCC for the account of Participants are recorded in computerised form by HKSCC. Withdrawal of participating securities in certificated form from the CCASS Depository is not available except where: (i) they are in the process of delisting as defined in Rule 2(2) of the USM Rules; or (ii) the Commission has granted an exemption from Rule 30 of the USM Rules pursuant to Rule 32 of the USM Rules, and subject to any procedure that HKSCC may prescribe from time to time. Participating securities in uncertificated form can be deposited or withdrawn via USI Transfer Request (see Section 7.2.5A).

For the avoidance of doubt, no Eligible Securities can be directly deposited into or withdrawn from any Stock Collateral Control Account and any TSF Account.

7.2.5A Deposits and withdrawals of Participating Securities in uncertificated form via USI Transfer Requests

Only Stamp Authorized Persons may effect deposits or withdrawals of participating securities in uncertificated form into and out of CCASS by submitting USI Transfer Requests to deposit or withdraw such securities into or out of their Stock Accounts in accordance with Section 7.4A.

Deposits and withdrawals of participating securities in uncertificated form are subject to security control vetting measures, affirmation by the counterparty of the legal title transfer of securities in connection with the USI Transfer Request and HKSCC's right to reject a USI Transfer Request.

A Stock Pledgee Participant or an Investor Participant wishing to withdraw such securities from CCASS, or an Investor Participant wishing to deposit such securities into CCASS, must request a Stamp Authorized Person to submit a USI Transfer Request on its behalf.

For deposits of participating securities in uncertificated form, upon the completion of the USI Transfer Request, such securities would be credited to the Stock Account of the Stamp Authorized Person. The Investor Participant should make necessary arrangements with the Stamp Authorized Person to transfer the deposited securities to its Stock Account.

For withdrawal of participating securities in uncertificated form, the securities of the Stock Pledgee Participant or Investor Participant must be transferred to the Stock Account of the Stamp Authorized Person before the USI Transfer Request may be submitted.

For the avoidance of doubt, no participating securities in uncertificated form can be directly deposited into or withdrawn from any Stock Collateral Control Account and any TSF Account.

7.2.7 Compensation for defective Eligible Securities, New Certificates and Old Certificates

New Certificates refer to certificates representing Eligible Securities which have been submitted for registration, or ~~re~~-issued, in the name of the Nominee since they were last deposited into CCASS (or certificates of such Eligible Securities newly issued in the name of the Nominee).

Old Certificates refer to certificates representing Eligible Securities which have not been registered or ~~re~~-issued in the name of the Nominee since they were last deposited into CCASS (noting that Old Certificates may already have been in the name of the Nominee).

7.2.10 Authorised persons

Participants must provide HKSCC with details of the persons authorised to collect certificates withdrawn from the CCASS Depository on their behalf.

Participants must submit to HKSCC/CCASS Depository duly completed Stock Collection Authorisation Form (which is available on HKEX website)~~(see CCASS Terminal User Guide for Participants for the form)~~ for this purpose.

7.3 PROCEDURES FOR DEPOSIT OF ELIGIBLE SECURITIES IN CERTIFICATED FORM

7.3.1 Input or submission of deposit orders~~Stock Deposit Forms~~

A Participant other than an Investor Participant that wishes to deposit Eligible Securities in certificated form into CCASS must input a deposit order for such securities electronically via its CCASS Terminal, unless otherwise advised by HKSCC from time to time.

Each deposit order inputted into CCASS by a Participant other than an Investor Participant will be assigned a unique number, the "Login Deposit/Demat Order Number". When inputting such deposit order into CCASS by using either the "Deposit/Demat Order" function or

“Deposit/Demat Order Batch File” function, details of the certificate being certificate numbers and name of the certificate holder must be included. For ease of identification, a “Deposit/Demat Order Number” will be assigned when a deposit order is accepted by HKSCC, and should be quoted by the Participant in all communication with HKSCC relating to such deposit order after it has been accepted.

An Investor Participant that wishes to deposit Eligible Securities in certificated form into its Stock Account must submit to the Customer Service Centre a completed a Stock Deposit/Demat Form duly signed by the Investor Participant as prescribed in the Operating Guide for Investor Participants for each type of Eligible Security (other than New Issue Shares) that it intends to deposit. Original The Stock Deposit/Demat fForms, which can be obtained from the Customer Service Centre CCASS Depository in advance, must be used and must be signed by a person authorised by the depositing Participant and in this case, “signed” includes the authorized person affixing or making a stamped impression of his signature on the Stock Deposit Forms. A “Deposit/Demat Order Number” will then be assigned when a deposit order is accepted by HKSCC. HKSCC shall not be required to validate the signature of the person authorised by the depositing Investor Participant.

7.3.2 Certificates and transfer documents

For each deposit order inputted into CCASS by a Participant other than an Investor Participant, Certificates for each Eligible Security must be grouped together and details of the certificate numbers must be completed on the Stock Deposit Forms such deposit order, and certificates delivered to the CCASS Depository in accordance with Section 7.3.3 (must be grouped in the sequence in which they are grouped entered on such order). A Participant other than an Investor Participant should ensure that the Login Deposit/Demat Order Number must be included in all deposit orders that have yet to be accepted by HKSCC.

In the case of Investor Participants, details of the certificate numbers must be completed on the Stock Deposit/Demat Form, and certificates delivered to the CCASS Depository in accordance with Section 7.3.3 must be grouped in the sequence in which they are set out on such form. Eligible Securities in certificated form deposited by a Corporate Investor Participant must also be accompanied by a certified copy of its board resolution or any other documents as may be required by HKSCC authorizing the registration of the Eligible Securities in the name of the Nominee and either: (i) the receipt by HKSCC of new certificates from the relevant securities registrar; or (ii) the conversion of such securities into uncertificated form, as applicable.

A Participant should ~~check~~ ensure that all deposits of Eligible Securities in certificated form are accompanied by all relevant certificates or evidence of title (duly endorsed as appropriate), instruments of transfer (duly executed, endorsed and stamped as appropriate) and such other documents, acts or things as may be required by HKSCC.

~~Eligible Securities deposited by a Corporate Investor Participant must also be accompanied by a certified copy of its board resolution or any other documents as may be required by HKSCC authorizing the re-registration of the Eligible Securities in the name of the Nominee.~~

7.3.3 Submission-Demat of Eligible Securities in certificated form to the CCASS Depository/ Customer Service Centre Stock Deposit Forms

After submission of a deposit order via CCASS Terminal, a Participant other than an Investor Participant should submit the deposit order details, relevant certificates, and other documents referred to in Section 7.3.2 to the CCASS Depository.

In respect of Participants other than Investor Participants depositing Eligible Securities, the Eligible Securities will normally be immediately credited to their Stock Accounts in accordance with Section 7.2.3, provided that the certificates have been delivered by such Participant and accepted by HKSCC. If a Participant fails to deliver the certificates relating to any deposit order to the CCASS Depository within three Business Days from the date such deposit order is entered into CCASS, such deposit order will be purged from CCASS and the relevant Participant will need to submit a new deposit order.

For each Eligible Security, ~~An Investor~~ Participant must submit ~~the~~ completed Stock Deposit/Demat Forms, together with the relevant certificate(s) and accompanying documents referred to in Section 7.3.2, to the ~~Customer Service Centre~~ relevant counters at the CCASS Depository. Upon acceptance of the Stock Deposit/Demat Form by HKSCC, the Investor Participant will be given a receipt with details of the certificates printed thereon.

Upon acceptance, a Participant will be given a copy of the relevant Stock Deposit Forms with details of the certificates deposited printed thereon.

7.4 PROCEDURES FOR WITHDRAWAL OF ELIGIBLE SECURITIES IN CERTIFICATED FORM

This Section 7.4 is only applicable to Eligible Securities in certificated form and does not apply to Uncertificated Eligible Securities or participating securities.

7.4.5 Withdrawal of board lots

The share quantity to be withdrawn must be a board lot or a multiple of a board lot.

Once a board lot withdrawal order is authorized and accepted by HKSCC~~the system~~, the Participant's specified Stock Account will be debited automatically by HKSCC~~the system~~ with the ~~withdrawal~~ quantity of shares to be withdrawn. Once accepted by HKSCC~~the system~~, the withdrawal order cannot be cancelled by the withdrawing Participant.

7.4.6 Withdrawal of odd lots

The share quantity to be withdrawn must not be a board lot or a multiple of a board lot.

Once an odd lot withdrawal order is authorized and accepted by HKSCC~~the system~~, the ~~withdrawn~~ share quantity to be withdrawn will be recorded as a "withhold" stock balance in the stock account of the withdrawing Participant. Such "withhold" stock balance may not be utilised by the Participant for any CCASS purposes other than for the odd lot withdrawal order. The "withhold" share quantity will be debited from the withdrawing Participant's Stock Account when the required odd lot ~~share~~ certificate has been received from the ~~share securities~~ registrar after splitting. The withdrawing Participant may not cancel an odd lot withdrawal order once such order is authorised and accepted by HKSCC~~the system~~.

7.4.7 Withdrawal of bearer Debt Securities issued in global form

For withdrawal of both board lots and odd lots of bearer Debt Securities issued in global form, the withdrawing Participant is required to provide the CCASS Depository with full details of the beneficiary ~~(see Section 7.6(v))~~. Once the withdrawal order is authorized, the order will be withheld by HKSCC~~the system~~ awaiting the provision of the beneficiary details from the withdrawing Participant. When the beneficiary details are received by the CCASS Depository,

the order will be accepted by HKSCC~~the system~~, the Participant's specified Stock Account will be debited automatically by HKSCC~~the system~~ by the amount of ~~the withdrawn~~ quantity of Debt Securities to be withdrawn. The Debt Securities certificate will be available for collection when the certificate has been received by HKSCC from the sharesecurities registrar or transfer agent appointed by the issuer after splitting/registration.

7.4.8 Collection of ~~share~~-certificates

Certificates relating to a withdrawal order input~~ted~~ before 2:00 p.m. can normally be collected before 5:00 p.m. on the same day (or such time as HKSCC may prescribe). All withdrawal orders input~~ted~~ after 2:00 p.m. will be processed for certificates to be collected on the next Business Day (or such time as HKSCC may prescribe). Participants that fail to collect the certificates relating to any withdrawal order from the CCASS Depository within two Business Days from the date the ~~share~~-certificates are available for collection shall be liable to an administrative charge. HKSCC reserves the right to re-credit any such Eligible Securities which remain uncollected after the two Business Days period to the Stock Account of the relevant Participant and no refund of the withdrawal fee shall be made by HKSCC.

Participants may input a withdrawal order for Eligible Securities up to 2:00 p.m. (or such other time as HKSCC may prescribe) on the last registration day ~~(or such earlier time as HKSCC may prescribe)~~(for submitting transfers of securities in certificated form, as specified by the relevant issuer) before the relevant book-close or record date and the request will be processed for certificates to be collected thereafter on the same day. Withdrawal orders cannot be input~~ted~~ after 2:00 p.m. on ~~the such~~ last registration day of any Eligible Securities. ~~†~~To effect withdrawal of such Eligible Securities, withdrawal orders will have to be input~~ted~~ on the next Business Day.

It is the responsibility of the Participant to produce the Stock Collection Authorisation Form with the correct "Withdrawal Order Number" stated thereon at ~~the relevant counter of the~~ CCASS Depository in order for ~~the CCASS Depository~~HKSCC to release the certificates of the relevant Eligible Securities. ~~The CCASS Depository~~HKSCC has the right to reject any request for collection of certificates if the details in the Stock Collection Authorisation Form are not complete and/or accurate.

The authorised representative of the Participant authorised to collect the certificates is required to present his identity card to ~~the HKSCC counter~~-staff for checking. HKSCC will on the basis of the Stock Collection Authorisation Form submitted by the Participant check to ensure that the representative is the authorised person to collect the relevant certificates relating to the withdrawal order. ~~The CCASS Depository~~HKSCC will not release any certificates to any person if he is not the authorised person specified on the Stock Collection Authorisation Form.

7.4A PROCEDURES FOR DEPOSIT AND WITHDRAWAL OF PARTICIPATING SECURITIES IN UNCERTIFICATED FORM VIA USI TRANSFER REQUEST

This Section 7.4A is only applicable to deposits and withdrawals of participating securities in uncertificated form by Stamp Authorized Persons.

A Stamp Authorized Person that wishes to deposit or withdraw participating securities in uncertificated form into or out of its Stock Account should input a USI Transfer Request into CCASS by using either the "USI Transfer Request" function or "USI Transfer Request Batch File" function, unless otherwise advised by HKSCC from time to time. The USI Transfer

Request should include a declaration in the form prescribed by HKSCC from time to time stating that the deposit or withdrawal does not involve any change in beneficial interest. A Stamp Authorized Person must have in place the measures as set out in Rules 801B or 812A prior to making such declaration.

Deposits and withdrawals of participating securities in uncertificated form are subject to security control vetting measures, affirmation by the counterparty of the legal title transfer of securities in connection with the USI Transfer Request and HKSCC's right to reject the USI Transfer Request.

Upon HKSCC's acceptance of the USI Transfer Request, such request, together with the name of the Stamp Authorized Person that inputted such request, will be submitted to the Registrar Participant of such participating securities for registration. Once a USI Transfer Request is accepted by HKSCC, such request may not be cancelled. Upon receipt of a confirmation from the relevant Registrar Participant of registration of the participating securities in the name of HKSCC or its nominee, HKSCC will credit or debit (as the case may be) such participating securities to such Stamp Authorized Person's Stock Account as follows:-

(i) Depositing participating securities in uncertificated form via USI Transfer Request (Receipt of such securities by HKSCC)

Participating securities in uncertificated form deposited by a Stamp Authorized Person will not be credited to such person's Stock Account until HKSCC has received the registration confirmation from the relevant Registrar Participant. For the avoidance of doubt, CCASS and nominee services will not be available for deposited participating securities in uncertificated form for which HKSCC has not received a registration confirmation.

(ii) Withdrawing participating securities in uncertificated form via USI Transfer Request (Delivery of such securities by HKSCC)

Once a USI Transfer Request for withdrawing participating securities in uncertificated form is accepted by HKSCC, the share quantity to be withdrawn will be recorded as "withhold" status in stock balance in the Stock Account of the withdrawing Stamp Authorized Person. Such "withhold" stock balance may not be utilised by such person for any CCASS purposes other than for fulfilling that USI Transfer Request. Upon receipt of the registration confirmation from the relevant Registrar Participant, HKSCC will debit the "withhold" share quantity from the withdrawing Stamp Authorized Person's Stock Account.

HKSCC shall notify the Stamp Authorized Person where any of its USI Transfer Requests is rejected by the relevant Registrar Participant.

7.5 SECURITY CONTROL

A complete record of details relating to each deposit and withdrawal of Eligible Securities into or out of the CCASS Depository will be retained by the CCASS Depository. The records will include details of:-

- (i) the Participant involved in each deposit (except for New Issue Shares) or withdrawal;
- (ii) the date of each deposit or withdrawal;

- (iii) the quantity and the type of Eligible Securities involved; and
- (iv) the certificate numbers of the Eligible Securities concerned (except for participating securities in uncertificated form).

7.6 FORMS

Various forms ~~are used~~ in connection with the operation of the CCASS Depository are available on HKEX website. ~~The most commonly used forms are referred to below:~~

- ~~(i) Stock Deposit Form (see CCASS Terminal User Guide for Participants for the form): this is to be used for each deposit of Eligible Securities into CCASS;~~
- ~~(ii) Stock Collection Authorisation Form (see CCASS Terminal User Guide for Participants for the form): this enables a Participant to notify HKSCC of the persons authorised to collect certificates relating to a withdrawal order from the CCASS Depository on its behalf;~~
- ~~(iii) Void Voucher (see CCASS Terminal User Guide for Participants for the form): this will normally be sent by the CCASS Depository to a Participant if an error is detected on the same day of a deposit or withdrawal by the Participant;~~
- ~~(iv) Adjustment Voucher (see CCASS Terminal User Guide for Participants for the form): this will normally be sent by the CCASS Depository to a Participant if an adjustment needs to be made subsequent to the day of deposit or withdrawal by the Participant (eg. data entry error); and~~
- ~~(v) Beneficiary Details and Registration Authorisation Form for bearer Debt Securities issued in global form (see CCASS Terminal User Guide for Participants for the form): this is to be used for each withdrawal of Debt Securities issued in global bearer form from CCASS. It is to be used to specify the details of the beneficiary of the certificate to be withdrawn.~~

~~Stock Collection Authorisation Forms and Beneficiary Details and Registration Authorisation Form for bearer Debt Securities issued in global form are to be signed by the authorised signatories of Participants. Stock Deposit Forms are to be signed by persons authorised by the Participants and “signed”, in this case, includes the authorized persons affixing or making stamped impression of their signatures. Void Vouchers and Adjustment Vouchers will be signed by the CCASS Depository.~~

~~Stock Withdrawal Receipt will be issued by the CCASS Depository to a withdrawing Participant upon each withdrawal of Eligible Securities (as well as securities entitlements which are not Eligible Securities) from CCASS.~~

7.7 [Repealed] WITHDRAWAL ORDER FUNCTIONS AVAILABLE FOR USE

~~Various withdrawal order functions are available for use by Participants other than Investor Participants through their CCASS Terminals. To access the relevant withdrawal order, a~~

Participant will need to key into its CCASS Terminal the "Login Withdrawal Order Number" of such withdrawal order.

The functions available for use by Participants other than Investor Participants are:

- (i) "Change Login Withdrawal Order" function: which allows a Participant to change certain input data of a pending withdrawal order before it is authorised;
- (ii) "Delete Login Withdrawal Order" function: which allows a Participant to delete a pending withdrawal order before it is authorised;
- (iii) "Enquire Login Withdrawal Order" function: which provides a list screen for a Participant to see all of its withdrawal orders at any time up to the date of the collection of the certificates relating to the withdrawal order and also enables a Participant to check the details and status of its withdrawal orders;
- (iv) "Authorise Login Withdrawal Order" function: which allows an Authorised User of a Participant to authorise a pending withdrawal order; and
- (v) "Cancel Login Withdrawal Order" function: which allows a Participant to cancel an odd lot withdrawal order which has already been authorised, when a Participant does not intend to wait for the splitting of relevant Eligible Securities.

For further details Participants may refer to the relevant section(s) of the CCASS Terminal User Guide.

7.8 PURGING OF PENDINGWITHDRAWAL ORDERS

Pending withdrawal orders may from time to time be purged from CCASS by HKSCC. The purging of withdrawals is initiated by HKSCC and not by the Participants.

PendingDeposit orders, withdrawal orders and USI Transfer Requests which remains in the "pending status" will be purged from CCASS three Business Days after their input.

7.9 RELEVANT CCASS REPORTS

7.9.1 Reports available

VariousTwo reports relating to deposits and withdrawals of securities in certificated and uncertificated form orders are available to Participants other than Investor Participants for retrieval via CCASS Terminals or Participant Gateways. in CCASS, namely:

- (i) the Withdrawal Order Audit Trail Report; and
- (ii) the Withdrawal Order Status Report.

Both reports are prepared in a pre-defined format and available daily from 8:00 a.m. and relate to matters affecting withdrawal orders input on the previous Business Day.

Withdrawal Orders Audit Trail Report : This report shows details of withdrawal orders input activities (including add, change, delete, authorise, and cancel withdrawal orders) of a

~~Participant on a Business Day, and lists withdrawal orders that are purged by HKSCC on that day in chronological order.~~

~~Withdrawal Orders Status Report : This report lists all withdrawal orders of different status (including pending, accepted, withhold, cancel, confirm, ready for collection, shares collected) of a Participant as at the end of a Business Day.~~

~~For detailed explanation of the status, please~~ For further details, Participants may refer to the CCASS Terminal User Guide.

7.11 FOREIGN SECURITIES

7.11.1 Custodian Services in relation to Foreign Securities

Most Foreign Securities are certificated and are physically held by an Appointed Depositary. (Those Foreign Securities which are ~~uncertificated scripless~~ or issued in global form are represented by book entries in the records of the Appointed Depositary.) HKSCC has an account with that Appointed Depositary in order to enable HKSCC to assist the Participant in the holding of Foreign Securities and the settling of transactions relating to Foreign Securities.

Physical deposit of Foreign Securities with the CCASS Depositary is not available. Participants that wish to physically deposit Foreign Securities with HKSCC's Appointed Depositary will be required to make their own arrangements with a person other than HKSCC who has an account with the Appointed Depositary. Foreign Securities which are physically deposited in this manner may be transferred to HKSCC's account with the Appointed Depositary if the Participant gives a Cross-Border Transfer Instruction for the securities to be so transferred in accordance with Sections 9.6A and 12.5.

Foreign Securities may be credited to and debited from a Participant's Stock Account as a result of (a) clearing and settlement of Exchange Trades relating to Foreign Securities, (b) clearing and settlement of Cross-Border Transfer Instructions and (c) the provision of any other service by HKSCC in relation to Foreign Securities to the Participant.

Save as otherwise provided in the Rules, HKSCC acknowledges and confirms that it has no proprietary interest in Foreign Securities to the extent they are credited to the Stock Account of a Participant.

HKSCC does not guarantee title to any Foreign Securities which is evidenced by any certificate which is physically withdrawn on the instructions of a Participant and is ~~subsequently re-~~ registered in the name of a beneficiary. Participants that wish to withdraw certificated Foreign Securities from an Appointed Depositary via HKSCC must submit to HKSCC a completed and signed prescribed form as set out in the CCASS Terminal User Guide for Participants. Physical withdrawal of Foreign Securities which are ~~uncertificated scripless~~ or issued in global form from an Appointed Depositary via HKSCC is not available.

In relation to Foreign Securities which are credited to a Participant's Stock Account, that Participant covenants, represents and warrants to HKSCC that:-

- (i) in the case of a certificated security, (a) the certificate is genuine and has not been materially altered; (b) the Participant does not know of any fact that might impair the

validity of the security; (c) there is no adverse claim to the security; and (d) there is no restriction on the transfer of such certificated security;

- (ii) in the case of an ~~uncertificated scripless~~ security, (a) there is no adverse claim to the security; and (b) there is no restriction on the transfer of such ~~uncertificated scripless~~ security;

7.14 UNCERTIFICATED ELIGIBLE SECURITIES

7.14.1 Custodian Services in relation to Uncertificated Eligible Securities ~~(other than China Connect Securities)~~

~~For the purposes of this Section 7.14.1, references to “Uncertificated Eligible Securities” shall not include China Connect Securities.~~

Uncertificated Eligible Securities are held by HKSCC for the account of Participants recorded in computerized form by the CCASS Depository.

Where Uncertificated Eligible Securities of Participants are held through HKSCC in any manner, each Participant covenants, represents and warrants to HKSCC that:-

- (a) it shall not raise any claims (whether in contract, tort or otherwise) against HKSCC arising from or relating to any form of tax, duty, fine or penalty imposed or levied on or in respect of the Uncertificated Eligible Securities under any applicable law or regulation, whether or not HKSCC is involved in any tax collection, withholding or related arrangement; and
- (b) unless HKSCC otherwise agrees, it shall only give voting or other instructions to HKSCC and not directly to the Overseas Issuer or its principal or branch ~~share~~securities registrar (if any).

7.15 CHINA CONNECT SECURITIES

7.14.2 7.15.1 Custodian Services in relation to China Connect Securities

China Connect Securities are ~~uncertificated scripless~~ securities. Physical deposit of China Connect Securities with and physical withdrawal of China Connect Securities from CCASS or the relevant China Connect Clearing House is not available. Accordingly, Rules relating to the physical deposit and withdrawal of securities are not applicable to China Connect Securities.

Section 8

Nominee Services

This Section 8 is not applicable to Registrar Participants.

8.2 GENERAL PRINCIPLES

8.2.2 HKSCC's role

HKSCC's role as provider of nominee services (i) in relation to the four broad categories of corporate actions or activities affecting Eligible Securities and (ii) insofar as Eligible Securities

other than China Connect Securities are concerned, in relation to (a) Electronic Application Instructions for New Issue Shares, (b) Tender Instructions and (c) electronic applications for issue and redemption of Units can be summarised as follows:-

- (i) Announcement/communication: this refers to announcements by issuers or Depositaries of Eligible Securities (eg. declarations of dividends or announcements of notifiable transactions) or announcements by third parties affecting holders of Eligible Securities (eg. announcements of take-over offers) as well as the distribution of corporate communications by the issuers of Eligible Securities other than China Connect Securities to holders of those Eligible Securities other than China Connect Securities and by Depositaries (eg. release of annual reports, circulars to shareholders containing details of notifiable transactions etc.). Here, the role of HKSCC as provider of nominee services to Participants will be to endeavour to bring the relevant matters to the attention of the Participants concerned or to arrange for the distribution of copies of relevant corporate communications to Participants;
- (ii) Voting: this refers to actions or activities affecting Eligible Securities that are to be voted upon by the holders of those Eligible Securities. Here, the role of HKSCC will be to endeavour ~~(a)(i)~~ to obtain the instructions of Participants and, where applicable, instructions of SSA Statement Recipients in relation to the Eligible Securities in SSA with Statement Service for the account of Clearing Participants or Custodian Participants, ~~(b)(ii)~~ to vote, ~~(c)(iii)~~ if appropriate, to make a demand for poll on their behalf, ~~and (d)(iv)~~ where the applicable laws, rules or regulations or the constitutional documents of the relevant Overseas Issuer or issuer so permit or require, to appoint persons nominated by Participants and, where applicable, by SSA Statement Recipients as aforesaid to attend meetings directly. ~~In respect of Uncertificated Securities, this refers to or may include and (e)~~ (where applicable or where the applicable laws, rules or regulations or the constitutional documents of the relevant Overseas Issuer or issuer so permit or require), ~~HKSCC to communicate~~ or ~~passing~~ on any voting or other instructions, proxy nominations or appointments or all other authorizations, declarations, requests or information received from Participants and, where applicable, from SSA Statement Recipients to the relevant Overseas Issuer or issuer or its authorized agents or representatives including the Overseas Issuer or issuer's principal or branch ~~share~~securities registrar. Notwithstanding the foregoing, HKSCC shall not be obliged to communicate, vote or take any action on behalf of Participants or their SSA Statement Recipients where communication, voting or the taking of action must be performed in person at a place outside of Hong Kong instead of by facsimile or electronic means.

8.2.4 Entitlements of Participants

In case of any holding of the relevant Eligible Securities deposited or credited prior to or on the last registration day before book close or record date is subsequently found to be defective, adjustments to the entitlements of Participants will have to be made.

Adjustments may be made to a Participant's entitlement in respect of participating securities in certificated form that are deposited and credited to the Participant's Stock Account during the period (i) after 12:00 noon (or such other time as HKSCC may prescribe) on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before the relevant book-close or record date, and (ii) before the commencement of the book-close period or on or before the record date of the relevant corporate action. Without prejudice to the generality of the foregoing, the Participant shall be responsible and accountable for any entitlement accruing to such securities, and HKSCC shall be entitled to recover such entitlement

from the Participant, including by adjusting the instruction quantity submitted by the Participant to reflect such entitlements, deducting from the Participant's total entitlement balance an amount or number of securities representing such entitlement, or by requiring the Participant to deposit a number of securities or pay an amount, in each case representing such entitlement. The procedures for adjustment of entitlement as set out in this Section, or as may be notified by HKSCC from time to time, shall be binding on Participants.

In respect of any negative stock balance in the Stock Accounts of a Clearing Participant or Clearing Agency Participant as at the date on which entitlements of Participants relating to corporate actions affecting an Eligible Security are determined by HKSCC, the entitlements accruing to such negative stock balance will be offset against the entitlements, if any, which would otherwise accrue to any outstanding long stock position of that Clearing Participant or Clearing Agency Participant in the same Eligible Security under the CNS System. Otherwise, a Participant other than an Investor Participant with a negative balance in its Stock Account will be dealt with in substantially the same way as Clearing Participants or Clearing Agency Participants with outstanding short stock positions under the CNS System (see Section 10.9).

8.2.5 Right to entitlements

HKSCC's ability to provide nominee services to Participants often depends on whether or not HKSCC or the appropriate Appointed Depositary has received deposit of the Eligible Securities prior to or on the last registration day before the relevant book-close or record date to enable HKSCC or the appropriate Appointed Depositary to arrange to have Eligible Securities registered in the name of the Nominee or the appropriate Appointed Depositary or its nominee in time for the relevant corporate actions or activities (or for other administrative purposes as in the case of Eligible Securities issued in bearer form). The time limits for deposits and withdrawals of Eligible Securities are set out in Section 8.2.6.

8.2.6 Time limits for deposits and withdrawals

If Participants wish to participate in corporate actions or activities affecting Eligible Securities (other than Foreign Securities) through CCASS, they must:-

- (i) in the case of securities in certificated form, deposit the relevant Eligible Securities ~~must usually be deposited~~ into CCASS at the latest by, 12:00 noon (or such other time as HKSCC may prescribe) on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before the relevant book-close or record date (or such earlier time as HKSCC may prescribe); or
- (ii) in the case of participating securities in uncertificated form, submit a USI Transfer Request for deposit (through a Stamp Authorized Person if the Participant is not one) to CCASS on or before 1:30 p.m. (or such other time as HKSCC may prescribe) on the last registration day (for submitting transfers of securities in uncertificated form, as specified by the relevant issuer) before the relevant book-close or record date.

Participants wishing to make their own arrangements should withdraw the relevant Eligible Securities from CCASS as soon as possible and, must in any event:-

- (i) in the case of securities in certificated form, withdraw the relevant Eligible Securities from CCASS before 2:00 p.m. (or such other time as HKSCC may prescribe) on the last registration day (for submitting transfers of securities in certificated form, as

specified by the relevant issuer) before the relevant book-close date or record date (or such earlier time as HKSCC may prescribe); or

- (ii) in the case of participating securities in uncertificated form, submit a USI Transfer Request for withdrawal (through a Stamp Authorized Person if the Participant is not one) to CCASS on or before 1:30 p.m. (or such other time as HKSCC may prescribe) on the last registration day (for submitting transfers of securities in uncertificated form, as specified by the relevant issuer) before the relevant book-close or record date.

Timely completion of any deposit or withdrawal of participating securities in uncertificated form will be subject to affirmation by the counterparty of the legal title transfer of securities in connection with the USI Transfer Request, and the completion of registration by the relevant Registrar Participant.

On the last registration Business Day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before the relevant ~~corporate action effective date or~~ book-close date or record date ~~(or such other time as may be prescribed by HKSCC)~~, no deposit ~~and~~ or withdrawal of relevant Eligible Securities in certificated form by Participants will ~~normally~~ be accepted by HKSCC after 12:00 noon and 2:00 p.m. (or such other time as HKSCC may prescribe) respectively on that day.

8.6 VOTING

8.6.2 General procedures

Normally, HKSCC will, based on the procedures described below, consolidate voting instructions from Participants and submit them to the relevant issuer or its authorized agents or representatives ~~and either submit one combined proxy form appointing the chairman of the relevant meeting to vote on the Nominee's behalf or send its own representatives to attend and vote at such a meeting, in each case, in accordance with the instructions of Participants concerned.~~ In addition~~al~~, HKSCC will, based on the procedures described below, appoint a person nominated by the Participant to attend and vote at such the relevant meeting, either as a proxy or as one of the Nominee's representatives. In determining whether a representative or a proxy will be appointed, HKSCC will refer to the constitutional documents of the issuer of the Eligible Securities, the proceedings of the relevant meeting and applicable laws. ~~In respect of Uncertificated Securities other than China Connect Securities, (where applicable and where the applicable laws, rules or regulations or the constitutional documents of the Overseas Issuer or issuer so permit or require), HKSCC will communicate or pass on any voting or other instructions, proxy nominations or appointments or other authorizations, declarations, requests or information received from the Participants to the Overseas Issuer or its authorized agents or representatives including the Overseas Issuer's principal or branch share registrar. In respect of China Connect Securities HKSCC may~~ (where applicable and where the applicable laws, rules or regulation or constitutional documents of the issuer so permit or require), ~~HKSCC will~~ communicate or pass on any voting or other instructions, proxy nominations or appointments or other authorizations, declarations, requests or information received from Participants to the issuer or its authorized agents or representatives. Notwithstanding the foregoing, HKSCC shall not be obliged to communicate, vote or take any action on behalf of Participants or their SSA Statement Recipients where communication, voting or the taking of action by facsimile or electronic means is unavailable and must be performed in person at a place outside of Hong Kong.

~~Normally, for meetings held in Hong Kong and where the constitutional documents of the issuer of the Eligible Securities, the proceedings of the relevant meeting and applicable laws allow more than one corporate representative to be appointed by HKSCC to attend and vote at the meeting, the deadline prescribed by HKSCC on Participants for the giving of instructions is one Business Day before the relevant meeting day. Otherwise, t~~The deadline prescribed by HKSCC on Participants for the giving of instructions will be on a day which in the opinion of HKSCC would enable it to have sufficient time to submit or pass on any voting or other instructions, proxy nominations or appointments or other authorizations, declarations, requests or information received from Participants to the issuer or its authorized agents or representatives~~the proxy form or the consolidated voting instruction or the relevant document for appointment of corporate representative, as the case may be, to the designated place of the issuer of the Eligible Securities or its authorized agent or representatives including the issuer's principal or branch share registrar by the stipulated time.~~ For the avoidance of doubt, the deadlines prescribed by HKSCC on Participants for the giving of instructions are also applicable to the giving of instructions by SSA Statement Recipients for the account of Participants.

8.6.3 Corporate actions subject to book-close period or record date

If voting is required in respect of corporate actions or activities which are subject to a book-close period or a record date for determining entitlements, the following procedures will normally apply:-

- (vii) where appropriate instructions have been received by HKSCC from a Participant and HKSCC has not received further instructions from the Participant to change the original instruction before the stated deadline (as specified in Section 8.6.2 above), ~~HKSCC will complete and submit a proxy form or a letter of appointment of corporate representatives to appoint the Participant or the person nominated by the Participant to attend and vote at the meeting at his/her discretion, as the case may be, unless the Participant specifically inputs instructions to HKSCC to vote in respect of the holding of Eligible Securities to which the proxy form relates by submitting the prescribed form at the Customer Service Centre or via a CCASS Terminal, as the case may be, in which case the proxy will have already indicated his/her voting preference. In respect of Uncertificated Securities (where applicable or where the applicable laws, rules or regulations so permit or require),~~ HKSCC will communicate or pass on any voting or other instructions, proxy nominations or appointments or all other authorizations, declarations, requests or information received from Participant to the ~~Overseas-Irrelevant~~ issuer or its authorized agents or representatives ~~including the Issuer's principal or branch share registrar.~~

8.8 BONUS ISSUES OF SECURITIES

8.8.5 Scripless entitlements and other non-Eligible Securities entitlements

Where any scripless entitlements (other than participating securities in uncertificated form) or other non-Eligible Securities entitlements accrue to any Eligible Securities other than China Connect Securities, HKSCC may arrange for such scripless and other non-Eligible Securities entitlements to be distributed directly by the issuer to the Participants entitled thereto. HKSCC shall be authorized to provide the issuer with such information relating to the relevant Participants to facilitate the direct distribution of such entitlements to the Participants. Where any non-Eligible Securities entitlements accrue to any China Connect Securities, HKSCC may make such arrangements as referred to in Section 8.8.3(v).

8.10 RIGHTS ISSUES BY ISSUERS OF ELIGIBLE SECURITIES (OTHER THAN CHINA CONNECT SECURITIES ~~AND OTHER SCRIPTLESS SECURITIES~~)

8.10.1 General

Implementation of rights issues by issuers of Eligible Securities may involve several different stages including the initial announcements, approval by holders of Eligible Securities (if necessary), etc. This Section is only concerned with the following aspects of a rights issue by an issuer of Eligible Securities other than China Connect Securities ~~and other scriptless securities~~:

- (i) the collection and distribution of nil paid rights ~~which may be represented by provisional allotment letters (PALs)~~;

8.10.3 ~~Provisional allotment letters relating to n~~ Nil paid rights treated as Eligible Securities

~~Provisional allotment letters relating to n~~ Nil paid rights will be accepted by HKSCC as Eligible Securities and Exchange Trades in such Eligible Securities effected by Participants will be settled under the CNS System in CCASS throughout the life cycle of their trading.

8.10.4 Procedures

The following procedures will usually apply:-

- (iii) shortly after the announcements of the relevant corporate actions or activities, HKSCC will generate two "Corporate Announcements" via CCASS Terminals and the CCASS Internet System under which the relevant Participants subscribe for rights shares and/or excess rights shares through HKSCC. Unless the offer document specifically provides otherwise, only Participants that are entitled to ~~or to whom provisional allotment letters relating to such~~ nil paid rights ~~have been issued~~ may apply for excess shares;
- (xi) ~~[Repealed] Participants will be able to withdraw their PALs at any time up to one week after the last subscription date (unless otherwise informed by HKSCC) from the CCASS Depository; and~~
- (xii) in the case of rights issues accruing to Foreign Securities, Participants that do not wish to subscribe for rights shares may instruct HKSCC to sell such entitlements. Upon receipt of written instructions by HKSCC on or before the deadline stipulated by HKSCC, HKSCC may on behalf of the Participants instruct agents to assist HKSCC to dispose of the relevant entitlements on or off market. HKSCC shall make only one attempt to dispose of the relevant entitlements, and normally on the first trading day of the relevant entitlements, at what it determines to be the prevailing market price and terms available. HKSCC shall incur no liability if it acts in good faith relating to the disposal. Upon receipt of the net proceeds by HKSCC, HKSCC will as soon as practicable arrange for payments to be made to the relevant Participants following deduction of any amounts due by the Participants to HKSCC including any transaction costs and charges. If the disposal of the entitlements is unsuccessful, HKSCC will inform the relevant Participants and shall not be obliged to take any further action in respect of the entitlements; and
- (xiii) where any subscription under a rights issue of an issuer involves the distribution of non-Eligible Securities, such distribution will be dealt with by HKSCC in the same way as

described in Section 8.8.5 for scripless entitlements and other non-Eligible Securities entitlements where applicable.

8.10A RIGHTS ISSUES RELATING TO CHINA CONNECT SECURITIES, ~~OTHER SCRIPLESS SECURITIES~~ AND NON-ELIGIBLE SECURITIES

8.10A.1 General

From time to time, rights issues may be made by issuers of China Connect Securities, ~~other scripless securities~~ and non-Eligible Securities to holders of such securities to subscribe for new shares. Sections 8.10A.2 and 8.10A.3 are concerned with rights issues by issuers of China Connect Securities to Participants holding such China Connect Securities through HKSCC and Section 8.10A.4(xiii) is concerned with rights issues by issuers of ~~other scripless securities or~~ non-Eligible Securities.

8.10A.4 ~~[Repealed] Other scripless securities and non-Eligible Securities~~

~~Where any subscription under a rights issue involves scripless securities (other than China Connect Securities) or non-Eligible Securities, such rights issue will be dealt with by HKSCC in the same way as described in Section 8.8.5 for scripless entitlements and other non-Eligible Securities entitlements where applicable.~~

8.11 OPEN OFFERS RELATING TO ELIGIBLE SECURITIES OTHER THAN CHINA CONNECT SECURITIES

8.11.1 General

An open offer is an offer to existing holders of securities to subscribe for further securities. An open offer is similar to a rights issue in that it is usually also made to the holders of securities on a pro-rata basis (although this is not necessarily the case). The difference, however, is that, unlike a rights issue, ~~no renounceable document of title (eg. PALs) will be issued and, therefore,~~ no trading in respect of the rights conferred by the offer thereof can be effected.

8.14 SUB-DIVISIONS, CONSOLIDATIONS ETC.

8.14.1 General

For convenience, the existing Eligible Securities prior to a sub-division, a consolidation or a stock conversion will be referred to in this Section as "Old Shares". The new Eligible Securities as a result of a sub-division, a consolidation or a stock conversion will be referred to as "New Shares". ~~As explained later, w~~Where the Eligible Securities are subject to parallel trading arrangements, ~~the certificates originally for the Old Shares will be deemed to represent the New Shares temporarily for the purposes of facilitating trading in the New Shares. For convenience, such original certificates~~the shares traded and recorded under the temporary trading counter are referred to as "Temporary Shares".

~~The aim of HKSCC is to minimize the need for Participants with holdings in Eligible Securities subject to sub-divisions, consolidations or stock conversions, to have to exchange original certificates representing Old Shares, for new certificates representing New Shares at the registrars concerned, and also to minimize the inconvenience to such Participants with respect to parallel trading arrangements that may be in place.~~

8.14.2 Parallel trading

In the case of a sub-division, a consolidation or a stock conversion affecting Eligible Securities which are subject to parallel trading on the Exchange, typically, the following stages are involved:-

- (i) the last trading day of the Old Shares will be the day before the effective date of the sub-division, consolidation or stock conversion;
- (ii) on the effective date of the sub-division, consolidation or stock conversion, a temporary trading counter for the Temporary Shares ~~(i.e. original certificates for the Old Shares which are deemed to represent the New Shares)~~ will be established on the Exchange to cater for dealing in the New Shares ~~before new certificates representing them are readily available;~~
- (iii) thereafter, usually in about two weeks, a new trading counter for the New Shares ~~(represented by new certificates)~~ will be established on the Exchange;
- (iv) for a period of time, trading in the New Shares will be effected separately at two trading counters on the Exchange, as referred to in paragraphs (ii) and (iii) above and hence the term "parallel trading"; and
- (v) parallel trading will cease when the temporary trading counter for the Temporary Shares is closed on the Exchange; and
- (vi) ~~[Repealed] usually from the time of the effective date of a sub-division, a consolidation, or a stock conversion until some specified time after the end of the parallel trading period, holders of original certificates representing Old Shares (or Temporary Shares) will be able to exchange such certificates for new certificates representing New Shares free of charge.~~

The Old Shares, the Temporary Shares and the New Shares will all be assigned stock codes by the Exchange and typically, the final stock code assigned by the Exchange to the New Shares will be the same stock code originally used for the Old Shares. HKSCC will normally adopt the same stock codes used by the Exchange for CCASS purposes.

8.14.5 Deposits and withdrawals of Eligible Securities in certificated form

Unless otherwise approved by HKSCC, the deposits and withdrawals of ~~original certificates representing~~ Old Shares into or out of CCASS by the delivery by Participants of any original certificates representing such shares will not normally be accepted by HKSCC from two Settlement Days after the end of the relevant parallel trading period (where the Eligible Securities are subject to parallel trading arrangements) or the date from which the certificates of Old Shares will cease to be valid for delivery, trading and settlement purpose or otherwise as set forth in the issuer's circular, as the case may be. Participants will then have to submit such original certificates to the registrars of issuers of Eligible Securities to exchange them for certificates for the New Shares or, in the case of participating securities, new uncertificated holdings representing the New Shares.

Save as mentioned and subject to availability, withdrawals by Participants of Old Shares, Temporary Shares and New Shares in certificated form will be allowed at any time.

This Section 8.14.5 applies without prejudice to Section 7.2.5 (regarding the restrictions on withdrawing participating securities from CCASS in certificated form) and Section 7.2.5A (regarding the deposit and withdrawal of securities in uncertificated form into and out of CCASS).

8.14.5A Deposits and withdrawals of participating securities in uncertificated form via USI Transfer Request

For participating securities in uncertificated form, any USI Transfer Request outstanding on the Business Day prior to the effective date of the sub-division, consolidation or stock conversion may be cancelled or rejected by the relevant Registrar Participant. A Stamp Authorized Person may re-submit a USI Transfer Request after such effective date.

8.18A ELECTRONIC APPLICATION INSTRUCTIONS FOR NEW ISSUE SHARES

8.18A.2 General – application instruction

A Participant which is a FINI CP User may give Electronic Application Instructions for New Issue Shares to HKSCC via FINI (a) to cause the Nominee to apply for New Issue Shares on its behalf and (b) to arrange payment and (where applicable) refund of application money. Where any such Electronic Application Instructions for New Issue Shares are given by a Participant to make application for New Issue Shares, the Participant is deemed to have agreed to the following:-

- (xi) the Participant authorizes the Issuer, in respect of the New Issue Shares allocated to it, (a) to issue the shares ~~certificates~~ in the name of the Nominee and; (b) unless such shares are participating securities in uncertificated form at the time of their issue, to issue certificates in the name of the Nominee and to deliver the same to the CCASS Depository ~~service counter~~ before the time specified by HKSCC or the Nominee on the day the certificates are to be despatched in accordance with the Prospectus;

8.18A.3 Optional use of BCAN as a client identifier

A Participant which is a FINI CP User may use BCAN as a client identifier when giving Electronic Application Instructions for New Issue Shares via FINI, in which case it must ensure (and, if the BCAN is assigned by the Participant's affiliate or client which is an intermediary (as defined in the Securities and Futures Ordinance) to its underlying client, procure such affiliate or intermediary client to ensure) that express prior written consent is obtained for the following:-

- (i) the provision of the BCAN to HKSCC allowing HKSCC to retrieve the corresponding CID from the Exchange;
- (ii) HKSCC's processing and storage of the CID and transfer of the CID to the Issuer's ~~share~~securities registrar to enable HKSCC and/or the Issuer's ~~share~~securities registrar to verify that the client has not made any multiple applications for the relevant subscription for New Issue Shares and to facilitate balloting and settlement; and
- (iii) HKSCC's processing and storage of the CID and transfer of the CID to the Issuer, the Issuer's ~~share~~securities registrar, the Commission, the Exchange and any other party involved in the New Issue for the purposes of processing the client's application for the relevant subscription for New Issue Shares, or any other purpose set out in the Prospectus.

8.20 ELECTRONIC APPLICATIONS FOR THE ISSUE AND REDEMPTION OF UNITS AND BOOK-ENTRY DEPOSIT OR WITHDRAWAL OF UNITS

8.20.2 Issue of Units

The following procedures will usually apply provided that where the underlying securities of Units are non-Eligible Securities, HKSCC may not be responsible for the transfer of such underlying securities for the issue of Units and the following procedures relating to the debiting of underlying securities by CCASS may not apply:-

- (vi) If HKSCC receives certificates representing Units created or, in respect of Units that are scripless or issued in uncertificated global form, written confirmation from the manager or trustee of the relevant Exchange Traded Fund confirming successful creation of the relevant number of Units at or before 3:45 p.m. on any Business Day, HKSCC will cause the Units to be credited to the Stock Accounts designated in the Debit and Credit Authorization Forms or the form(s) specified by HKSCC of the relevant Participants (other than Investor Participants) after 3:45 p.m. on the same day. Otherwise, such crediting will be carried out on the following Business Day. Nothing in this paragraph shall be construed as the giving of a guarantee for same day settlement on the part of HKSCC.

8.22 UNCLAIMED ENTITLEMENTS

- 8.22.2** A Participant other than Investor Participant wishing to claim such unclaimed benefits must apply in the form prescribed by HKSCC from time to time and must provide HKSCC with satisfactory proof to the effect that the Participant is entitled to the unclaimed benefits being claimed. Normally, such Participant will have to provide HKSCC with a certified copy of the relevant Stock Withdrawal Receipt, a certified copy of the relevant purchase contract notes or statement showing the relevant purchase transaction details, certified copies of the relevant certificates, certified copies of the relevant transfer deeds, a certified copy of the relevant registrars' transfer receipts with certificate numbers printed thereon, original letter from the beneficial owner claiming the entitlement and a letter of indemnity, in a form acceptable to HKSCC (available on HKEX website~~see the CCASS Terminal User Guide for Participants~~), issued by the Participant.

Where such Participant is unable to provide HKSCC with any of the above required documents, HKSCC may entertain a claim for unclaimed benefits subject to the Participant providing HKSCC with (i) a satisfactory explanation as to why any one or more of such documents cannot be provided; (ii) confirmation from the relevant registrar of the non-registration and/or registration of the withdrawn certificates together with details of the transferee as the case may be; HKSCC may obtain such confirmation upon request from the Participant concerned who will be responsible for any charges incurred; and (iii) if so requested by HKSCC, a letter of indemnity, in a form acceptable to HKSCC (available on HKEX website~~see the CCASS Terminal User Guide for Participants~~), issued by the Participant and endorsed by a licensed bank or (subject to the prior approval of HKSCC and in a form acceptable to HKSCC) a third party Participant as guarantor. A handling charge will be charged by HKSCC through the generation of an EPI.

- 8.22.3** An Investor Participant wishing to claim the unclaimed benefits must apply in the form prescribed by HKSCC from time to time and must provide HKSCC with satisfactory proof to the effect that such Investor Participant is entitled to the unclaimed benefits being claimed.

HKSCC will only entertain claims made by Investor Participants who have obtained transfer of the certificates out of the name of HKSCC Nominees Limited into their own names.

Normally, an Investor Participant must provide HKSCC with certified copies of the relevant Stock Withdrawal Receipt, the relevant purchase contract notes (or statement showing the relevant purchase transaction details), the relevant certificates, the transfer deeds and the relevant registrars' confirmation of the non-registration and/or registration of the withdrawn certificates together with details of the transferee. HKSCC may obtain such confirmation upon request from the Investor Participant concerned who will be responsible for any charges incurred. Both the name of the purchaser and the transferee should be the same as the name of the Investor Participant concerned.

Where an Investor Participant is unable to provide HKSCC with any of the above required documents, HKSCC may entertain a claim for unclaimed benefits subject to the Investor Participant providing HKSCC with (i) a satisfactory explanation as to why any one or more of such documents cannot be provided; (ii) confirmation from the relevant registrar ~~of that the re-registration~~ of the securities in the name of the Investor Participant has been completed; HKSCC may obtain such confirmation upon request from the Investor Participant concerned who will be responsible for any charges incurred; and (iii) if so requested by HKSCC, a letter of indemnity, in a form acceptable to HKSCC (~~available on HKEX website~~ see the CCASS Terminal User Guide for Participants), issued by the Investor Participant and endorsed by a license bank. A handling charge will be charged by HKSCC by way of DDI.

Section 8A

Registrar Participants' Access to or Use of Messaging Facilities

8A.1 ACCESS TO OR USE OF MESSAGING FACILITIES

This Section 8A applies to Registrar Participants and is in relation to participating securities registered or to-be-registered in the name of HKSCC or its nominee.

Registrar Participants shall establish a linkage with HKSCC according to the Registrar Participant Manual to access and use messaging facilities provided by HKSCC to facilitate the transmission of messages between Registrar Participants, acting as the agent of the relevant issuer or offeror of participating securities, and HKSCC or its nominee.

Registrar Participants shall access and use such messaging facilities in accordance with the Registrar Participant Manual. Without prejudice to the foregoing, Registrar Participants shall transmit authenticated messages using such messaging facilities to HKSCC or its nominee, and process authenticated messages received from HKSCC or its nominee through such messaging facilities, in accordance with the timing and schedule set out in the Registrar Participant Manual.

Registrar Participants shall communicate with HKSCC or its nominee through such messaging facilities unless it is not practicable to do so and/or where an alternative arrangement has been agreed with HKSCC or its nominee from time to time. In the event that such messaging facilities cannot be used or accessed by a Registrar Participant, the

Registrar Participant may submit such messages in accordance with the alternative means and procedures specified in the Registrar Participant Manual.

Generally, the messaging facilities shall be available to Registrar Participants between the hours of 7:00 a.m. and 11:59 p.m., Monday to Friday (except public holidays). The availability of the messaging facilities under severe weather conditions shall be as set out in the Registrar Participant Manual. Notwithstanding the foregoing, HKSCC has the right to prescribe and change the general hours of or suspend the messaging facilities from time to time. HKSCC shall give Registrar Participants notice of such change or suspension where reasonably practicable.

8A.2 OPERATIONAL WORKFLOWS

Registrar Participants shall, through messaging facilities provided by HKSCC, send or receive messages in relation to participating securities for which they are providing securities registrar services, including but not limited to the following:-

- (i) dematerialisation requests and/or registration of transfer requests or securities movement requests (such as requests in relation to securities repurchased by the issuers):-
 - (a) upon receiving from HKSCC or its nominee a dematerialisation request and certificates of participating securities in the name of HKSCC or its nominee, the Registrar Participant shall dematerialise such participating securities by converting such participating securities from certificated form to uncertificated form and updating the register of holders in accordance with Rule 22 of the USM Rules;
 - (b) upon receiving from HKSCC or its nominee a dematerialisation with transfer request purporting to transfer such participating securities to HKSCC or its nominee as the transferee, together with all relevant certificates of participating securities and instruments of transfers (duly executed, endorsed and stamped as appropriate), the Registrar Participant shall dematerialise such participating securities by converting such participating securities from certificated form to uncertificated form and update the register of holders in accordance with Rule 23 of the USM Rules;
 - (c) upon receiving a transfer request from HKSCC or its nominee, and subject to affirmation by the counterparty of the legal title transfer of such request, the Registrar Participant shall update the register of holders in accordance with Rule 13 of the USM Rules;
 - (d) upon receiving a request from HKSCC or its nominee in connection with any participating securities repurchased by the issuer of such participating securities, and subject to a matching instruction of such issuer, the Registrar Participant shall update the register of holders in accordance with such request;
- (ii) confirmations of completion of requests, rejection of requests, and updates to the register of holders;

- (iii) corporate action-related instructions or messages from or to HKSCC or its nominee, including but not limited to the following:-
 - (a) election instructions for dividend entitlements with options;
 - (b) subscription instructions of rights issues, open offers, preferential offers, takeover offers;
 - (c) exercise instructions in respect of convertible securities;
 - (d) voting instructions;
 - (e) notifications relating to entitlements;
 - (f) confirmations of updates to the register of holders arising from corporate actions;
- (iv) acknowledgements of receipts and confirmations of execution or rejection relating to corporate actions-related instructions;
- (v) confirmations of updates to the register of holders due to corporate actions and other information relating to the holder or securities, including but not limiting to share allotments from IPOs and placings; and
- (vi) daily confirmations of the balance of HKSCC's or its nominee's participating securities in uncertificated form recorded in the relevant register of holders.

8A.3 MESSAGES

8A.3.1 All messages sent in accordance with the requirements set out in the Registrar Participant Manual are deemed to have been sent by or to a Registrar Participant in its capacity as an agent on behalf of the respective issuer or offeror of participating securities. Any such message sent by a Registrar Participant shall be attributable to both the Registrar Participant and the issuer or offeror of the relevant participating securities and any such message sent to a Registrar Participant shall be addressed to both the Registrar Participant and the issuer or offeror of the relevant participating securities.

8A.3.2 HKSCC or its nominee shall be entitled to, in good faith, execute or otherwise act upon any messages (not being authenticated messages) given or purporting to be given to it by, with the authority of or on behalf of a Registrar Participant, whether or not in strict compliance with the prescribed manner set out in the Registrar Participant Manual or any applicable limitation on authority of such Registrar Participant, which is understood or believed by HKSCC or its nominee in good faith to have been given to it by, with the authority of, or on behalf of such Registrar Participant.

8A.3.3 Notwithstanding any provisions in this Section to the contrary, HKSCC or its nominee may, in its absolute discretion, refuse to execute or otherwise act upon any messages, or purported messages (including any authenticated messages) if at the time HKSCC or its nominee received it or at any time thereafter HKSCC or its nominee determines that, inter alia:-

- (i) it does not contain sufficient details for HKSCC or its nominee to act upon it;

- (ii) it was forged, fraudulent or otherwise not genuine;
- (iii) any information contained in it was incorrect;
- (iv) it was not sent with the authority of the person on whose behalf it was expressed to have been sent; or
- (v) it was not initiated by the Registrar Participant or other person entitled to give it.

Section 9

Overview of Clearing and Settlement in CCASS

This Section 9 is not applicable to Registrar Participants.

Section 10

Exchange Trades - CNS System

This Section 10 is not applicable to Registrar Participants and Investor Participants.

10.8 LATE DELIVERY-: BUY-IN

10.8.2 Timing of Buy-in

In the event that a short Participant wishes to make an irrevocable request to HKSCC to execute a Buy-in pursuant to Rule 3501(iv), such Participant shall complete and submit to HKSCC the prescribed form of request (available on HKEX website~~See CCASS Terminal User Guide for Participants for the form~~). HKSCC reserves the right to accept or reject the short Participant's Buy-in request in its absolute discretion as it may think fit. If the request form is received and accepted by HKSCC between 8:01 p.m. and 12:00 noon, orders will be placed on or off the Exchange during the afternoon trading session at the Exchange. If the request form is received and accepted by HKSCC between 12:01 p.m. and 8:00 p.m., orders will be placed on or off the Exchange on the following trading day. HKSCC shall effect the Buy-in at what it determines to be the best prevailing market price and terms available (but taking into account HKSCC may need to act promptly and provided that HKSCC shall have no liability if it acts in good faith). The short Participant shall be liable to and shall indemnify HKSCC, the Exchange, and a recognized exchange controller which is the controller of HKSCC against all costs and expenses incurred by HKSCC in connection with the Buy-in.

10.8.3 Exemption from Buy-in

HKSCC may grant an exemption from a Buy-in on behalf of a short Participant on T+3 if such Participant is able to provide HKSCC with satisfactory evidence in accordance with Section 10.8.4 that a ground for exemption as set out below applies:-

- (i) the Participant applying for exemption or the delivering Participant has made a deposit of sufficient Eligible Securities in certificated form into the CCASS Depository prior to

4:15 p.m. on a Settlement Day, but the CCASS Depository is unable to process the ~~stock~~ deposit before the final Batch-settlement-run;

10.8.4 Application for exemption from Buy-in on T+3

A short Participant wishing to claim exemption under Section 10.8.3 must apply to HKSCC not later than 8.00 p.m. on the due date for settlement (i.e., T+2) by completing and submitting an Application Form for Exemption of Buy-in (available on HKEX website see CCASS Terminal User Guide for Participants for the form). ~~The Application Form shall be sent by facsimile or such other means as HKSCC may consider appropriate and shall be deemed received when received by HKSCC. In addition~~ Upon submission of the form, the short Participant applying for exemption must provide HKSCC with satisfactory supporting documents as set out below on or before T+6, unless otherwise notified by HKSCC. Unless (i) HKSCC grants an exemption under Section 10.8.3, (ii) there is a risk management reason affecting HKSCC, which is considered valid by the Risk Management Committee, (iii) a Buy-in has been executed by HKSCC pursuant to Rule 3501, or (iv) in respect of the short CNS stock positions of a short Participant, HKSCC shall have the right, but shall not be obliged, to effect a Buy-in on behalf of the short Participant on T+3 (or if it is not practicable to do so on T+3, at any time thereafter) through HKSCC's authorized brokers as HKSCC in its absolute discretion considers appropriate.

In respect of an exemption claimed under Section 10.8.3(i), the Participant applying for exemption is required to provide HKSCC with a certified copy of the temporary receipt issued by the CCASS Depository for the shares certificates deposited.

In respect of an exemption claimed under Section 10.8.3(ii), the Participant applying for exemption is required to provide HKSCC with a certified copy of the receipt issued by the CCASS Depository for the relevant ~~Stock Deposit Form endorsed by the CCASS Depository~~.

10.9 LATE DELIVERY-: ADJUSTMENTS FOR ENTITLEMENTS

10.9.4 Voting

Long Clearing Participants that wish to give instructions relating to voting for a meeting held in Hong Kong may apply to HKSCC by completing and submitting to HKSCC a "Voting Request Form - CNS Positions" (available on HKEX website see CCASS Terminal User Guide for Participants for the form) by 2:00 p.m. one Business Day before the relevant meeting date or by such other means specified by HKSCC which may be subject to other time limits. Otherwise, the deadline prescribed by HKSCC on Long Clearing Participants for the giving of instructions will be on a day which in the opinion of HKSCC would enable it to have sufficient time to submit instructions to the relevant issuers or their authorized agents or representatives ~~the proxy form or the relevant document for appointment of corporate representative, as the case may be, to the designated place~~ by the stipulated time. This will be dealt with by HKSCC in the normal way (see Section 8.6.2).

10.9.8 Rights issues

Application for rights shares and excess shares by Long Participants will be effected by completing and submitting to HKSCC a "Rights Issues Subscription Election Form - CNS Positions" (available on HKEX website see CCASS Terminal User Guide for Participants for the form) together with a cashier order for the subscription money or by any other means as specified by HKSCC by 2:00 p.m. on the Business Day before the last day for subscription for

rights shares or any other time as specified by HKSCC, and may not result in HKSCC requiring Short Participants to take action.

10.9.9 Open Offers

In relation to open offers (other than open offers relating to China Connect Securities), the following procedures will usually apply:-

- (i) Long Participants wishing to apply for new shares or excess shares under an open offer will be required to complete and submit to HKSCC a “Subscription of Open Offer Form – CNS Positions” ([available on HKEX website](#)~~see CCASS Terminal User Guide for Participants for the form~~) and provide HKSCC with a cashier’s order for the relevant amount or by such other means as specified by HKSCC by 2:00 p.m. on the Business Day before the last day for acceptances under an open offer or any other time as specified by HKSCC;

10.9.10 Take-over offers

In relation to takeover offers, the following procedures will usually apply:-

- (ii) Long Clearing Participants who wish to accept a take-over offer will have to complete and submit election forms called “Take-over Offer Acceptance/Election Form – CNS Positions” ([available on HKEX website](#)~~see CCASS Terminal User Guide for Participants for the form~~) to HKSCC or to apply to HKSCC by any other means as specified by HKSCC by 2:00 p.m. on the last Business Day before the last day of acceptance of a take-over offer or any other time as specified by HKSCC; and

10.9.11 Conversion of warrants

In relation to conversion of warrants close to expiry or otherwise subject to corporate actions, the following procedures will normally apply:-

- (i) on the due date of settlement of the last trading day of warrants about to expire, or the Business Day before the last day to participate in corporate actions affecting the warrants, as the case may be, Long Participants will be asked by HKSCC to elect whether or not to subscribe for securities under the warrants. A Long Participant wishing to subscribe for securities under warrants will be required to complete a “Warrant Conversion Election Form – CNS Positions” ([available on HKEX website](#)~~see CCASS Terminal User Guide for Participants for the form~~) and provide HKSCC with a cashier’s order for the relevant amount or to apply to HKSCC by any other means as specified by HKSCC by 2:00 p.m. on the Business Day before the last day of subscription of the warrants (or the Business Day before the last day to participate in corporate actions affecting the warrants, as the case may be) or any other time as specified by HKSCC;

10.9.14 Conversion of Debt Securities

In relation to conversion of eligible Debt Securities close to expiry, the following procedures will usually apply:-

- (i) on the due date of settlement of the Business Day before the last day of the conversion period, Long Clearing Participants who wish to subscribe/convert for securities accruing to their due Debt Securities positions through CCASS will be required to complete a “Debt Securities Conversion Request Form – CNS Positions” ([available on HKEX website](#)~~see CCASS Terminal User Guide for Participants for the form~~) and provide HKSCC with a cashier order for the relevant amount or to apply to HKSCC by any other

means as specified by HKSCC by 2:00 p.m. on the Business Day before the last day of subscription/conversion of the Debt Securities or such other means or time as may be specified by HKSCC;

Section 10A

China Connect Securities Trades - CNS System

This Section 10A is not applicable to Registrar Participants and Investor Participants.

Section 11

Exchange Trades - Isolated Trades System

This Section 11 is not applicable to Registrar Participants and Investor Participants.

11.9.6 Rights issues

In relation to rights issues, Short Clearing Participants are required to deliver the relevant number of nil paid rights (~~PALs~~) to the relevant counterparty Long Clearing Participants on the distribution date of such nil paid rights.

In relation to Exchange Trades in ~~PALs~~ nil paid rights to be settled under the Isolated Trades System in CCASS the following procedures will normally apply:-

- (i) Long Clearing Participants wishing to subscribe for rights shares through CCASS in respect of their unsettled stock positions under the Isolated Trades System in such ~~PALs~~ nil paid rights must complete and return the Rights Issue Subscription Election Form - IT Positions (see CCASS Terminal User Guide for Participants for the form) and Declaration Form to HKSCC together with a cashier order for the relevant amount by 2:00 p.m. on the Business Day before the last day for Subscription for the rights shares in question or such other means and time as may be specified by HKSCC. This will be dealt with by HKSCC in the normal way (see Section 8.10);
- (ii) if the Long Clearing Participants fail to receive any of the ~~PALs~~ nil paid rights or only receive part of the ~~PALs~~ nil paid rights from their counterparty Short Clearing Participants before the last day for subscription (or by the first Batch-settlement-run on the last day for subscription if the last day for subscription falls on the second Settlement Day following the last trading day of the ~~PALs~~ nil paid rights), HKSCC will not process the subscription request of the Long Clearing Participants or will only process partial subscription based on the quantity of ~~PALs~~ nil paid rights received by the Long Clearing Participants; and
- (iii) HKSCC will refund the whole subscription money or the balance of the subscription money, as the case may be, to the Long Clearing Participants.

Section 12

**Non-Exchange Trades – SI Transactions,
Clearing Agency Transactions,
ISI Transactions, Transfer Instructions and
Non-Trade Transfers in China Connect Securities**

This Section 12 is not applicable to Registrar Participants.

12.5 CROSS-BORDER TRANSFER INSTRUCTION

12.5.3A Settlement of Cross-Border Transfer Instructions in respect of which Uncertificated Eligible Securities are to be credited to Participant's Stock Account with CCASS and debited from an Overseas Account

Upon receipt of a duly completed Cross-Border Transfer Instruction Form as set out in the CCASS Terminal User Guide from a Participant in relation to the crediting of Uncertificated Eligible Securities to that Participant's Stock Account with CCASS and a confirmation from the Overseas Issuer, or its authorized agents or representatives or its principal or branch ~~share~~securities registrar or the entity with which the Overseas Account is maintained in relation to the transfer and/or ~~re~~-registration of such Uncertificated Eligible Securities in the name of HKSCC or the Nominee, HKSCC shall credit such Uncertificated Eligible Securities to the Participant's Stock Account with CCASS. The effecting of a transfer in accordance with that instruction will be dependent upon the appropriate actions being taken by the Overseas Issuer (or its agents or representatives), the entity with which the Overseas Account is maintained and the holder of the Overseas Account to be debited.

12.5.3B Settlement of Cross-Border Transfer Instructions in respect of which Uncertificated Eligible Securities are to be debited from Participant's Stock Account with CCASS and credited to an Overseas Account

Upon receipt of a duly completed Cross-Border Transfer Instruction Form as set out in the CCASS Terminal User Guide from a Participant in relation to the debiting of Uncertificated Eligible Securities from that Participant's Stock Account with CCASS, HKSCC will debit such Eligible Securities from the Participant's Stock Account in accordance with the Cross-Border Transfer Instruction Form if there are sufficient Eligible Securities in credit in the Participant's Stock Account. HKSCC will forward the transfer instruction to the Overseas Issuer, its authorized agents or representatives or its principal or branch ~~share~~securities registrar or the entity with which the Overseas Account is maintained for processing. The effecting of a transfer in accordance with that instruction will be dependent upon the appropriate actions being taken by the Overseas Issuer (or its agents or representatives), the entity with which the Overseas Account is maintained and the holder of the Overseas Account to be credited.

Section 12A

Foreign Exchange Services

This Section 12A is only applicable to TSF CCASS Participants.

12A.5 EARMARKING AND DE-EARMARKING OF TSF STOCKS

12A.5.1 Earmarking and de-earmarking requirements

In accordance with Rules 12A01(v) and 12A09, TSF Stocks purchased with the support of the TSF shall be earmarked as such; held in the TSF Accounts; and be subject to restrictions on transfer to other Stock Accounts and withdrawal ~~of share certificates~~ from CCASS. TSF Participants wishing to sell earmarked TSF Stocks shall, except where a Stock Release Request is accepted by HKSCC or otherwise permitted under the Rules, be obliged to sell such TSF Stocks through the use of the TSF and to accept the sale proceeds of such TSF Stocks in HKD. The sale of earmarked TSF Stocks through the use of the TSF will result in the de-earmarking of the TSF Stocks.

Section 12B

Stamp Duty Payment Services for Participating Securities in Uncertificated Form

This Section 12B is only applicable to Stamp Authorized Persons.

12B.1 PURPOSE

This Section 12B provides details on the stamp duty payment services under which Stamp Authorized Persons may submit Stamp Duty Payment Requests with respect to SI Transactions of participating securities in uncertificated form, and the procedures relating to the submission, calculation and settlement of the stamp duty payments.

12B.2 STAMP DUTY PAYMENT REQUESTS

This service only serves as an alternative channel to facilitate Stamp Authorized Persons to make stamp duty payment within the stamping time limit to the Collector of Stamp Revenue. For transactions subject to any late stamping penalty, the responsible party shall make stamp duty payment directly to the Collector of Stamp Revenue.

12B.2.1 Submission of Stamp Duty Payment Requests

A Stamp Authorized Person can opt to submit a Stamp Duty Payment Request via CCASS instructing HKSCC to issue a request to the Collector of Stamp Revenue for the chargeable stamp duty in respect of its SI Transactions in participating securities in uncertificated form.

Stamp Authorized Person shall submit “Stamp Duty Payment Requests” in accordance with the CCASS Terminal User Guide to facilitate the Collector of Stamp Revenue to calculate and collect the stamp duty payment amount. HKSCC reserves the right to impose other requirements as may be requested by the Collector of Stamp Revenue from time to time. Stamp Authorized Person shall ensure they submit Stamp Duty Payment Requests in compliance with the requirements of the Collector of Stamp Revenue.

It shall be the Stamp Authorized Person’s responsibility to imprint the amount of stamp duty paid on the contract notes after the generation of EPI pursuant to Section 12B.2.3. The Stamp Authorized Person is fully responsible for its transactions and shall ensure that the correct

amount of stamp duty payments is being paid, contract notes are being prepared according to the requirements of the Collector of Stamp Revenue (including those in the Stamp Duty Ordinance) and that proper records are retained for the inspection by the Collector of Stamp Revenue.

Participants should refer to the CCASS Terminal User Guide for Participants for further information on the Stamp Duty Payment Request functions and the relevant reports.

12B.2.2 Calculation of Stamp Duty Payment amount

After a Stamp Authorized Person successfully submits a Stamp Duty Payment Request in CCASS, HKSCC shall transmit the request details to the Collector of Stamp Revenue for calculation of stamp duty payment. On the following Business Day, the Collector of Stamp Revenue will notify HKSCC of the calculated stamp duty payment amount for each received request. In case any requests are rejected by the Collector of Stamp Revenue, HKSCC shall update the status of the Stamp Duty Payment Request to “rejected”. The Stamp Authorized Person shall be responsible for checking the status of the submitted requests and should re-input a new request with valid details where necessary.

12B.2.3 Money Settlement for Stamp Duty Payment

On the Business Day following submission of a Stamp Duty Payment Request, based on the payment amount calculated by the Collector of Stamp Revenue and notified to HKSCC, HKSCC shall issue an EPI for each Stamp Duty Payment Request. Once the EPI is generated by HKSCC, the relevant details will be provided to the Collector of Stamp Revenue for information, and such stamp duty payment will be deemed to be paid by the Stamp Authorized Person that submitted the Stamp Duty Payment Request. The EPIs relating to Stamp Duty Payment Requests will be issued in accordance with Section 14 to the Designated Banks of the Participants concerned to effect payment to the Collector of Stamp Revenue and/or its agent. The relevant Designated Bank is required to issue a payment confirmation in accordance with Section 14.5.3 no later than 9:30 a.m. on the Business Day following the issuance of an EPI. Stamp Authorized Persons shall be responsible for checking and ensuring that they have sufficient funds in their General Purpose Designated Bank Account to fulfil any stamp duty payments, in addition to any other CCASS related money obligations.

Stamp Authorized Persons shall pay the money settlement fees for both the debit and credit EPIs issued by the HKSCC in relation to Stamp Duty Payment Requests.

In case there is any payment rejection of an EPI, HKSCC will notify and provide information in relation to the payment rejection to the Collector of Stamp Revenue.

12B.2.4 Purging of Stamp Duty Payment Requests

Any Stamp Duty Payment Request in the “pending status” shall be purged by HKSCC from CCASS at the end of the day on which such request is submitted. The purging of pending requests is initiated by HKSCC and not by Stamp Authorised Persons.

12B.3 HKSCC NOT RESPONSIBLE

Without limiting the generality of Chapter 21 of the Rules, HKSCC shall not be in any way responsible or liable in contract, tort or otherwise to a Participant, its clients or any other person for any act, omission, delay or failure on the part of HKSCC in connection with Stamp Duty Payment Requests and related payments. It is the responsibility of the Participant, its client or

the relevant investor (as the case may be) to ensure that stamp duty, including any fine or penalty, in respect of a SI transaction is properly and timely paid to the Collector of Stamp Revenue.

Section 13

Securities Settlement

This Section 13 is not applicable to Registrar Participants.

Section 14

CCASS Money Settlement

This Section 14 is not applicable to Registrar Participants.

14.1 SCOPE OF MONEY SETTLEMENT SERVICES

14.1.2 HKSCC's role

HKSCC plays ~~two~~ different roles in relation to CCASS money settlement:-

(iii) as facilitator in relation to payment and refund of application or tender monies between Participants and issuers in relation to Tender Instructions; ~~and~~

(iv) as facilitator in relation to payment of money by Clearing Participants or Custodian Participants to their SSA Statement Recipients pursuant to STI Transfers on a DVP basis; and

(v) as facilitator in relation to payment of money by Stamp Authorized Persons to the Collector of Stamp Revenue and/or its agent in respect of Stamp Duty Payment Requests.

14.2 DESIGNATED BANKS AND AUTHORISATION FORMS

14.2.4 Forms to be completed

In order that a Participant can use its Designated Bank Account(s) for CCASS money settlement, it has to complete and submit such debit authorisations and authorisations to disclose information as HKSCC may prescribe from time to time to HKSCC for processing. Such debit authorisations and authorisations to disclose information include the following:-

(ii) Debit Authorisation for Electronic Payment Instruction.

By giving this authorisation, a Participant authorises its Designated Bank to accept debit instructions from HKSCC by way of EPIs (see below), to effect payment to HKSCC ~~or~~ other Participants, the Collector of Stamp Revenue or ASRs; and

14.3 INSTRUCTIONS BY HKSCC TO DESIGNATED BANKS

14.3.4 Amounts arising out of nominee services

The amounts to be debited or credited to the Designated Bank Accounts of Participants in relation to nominee and similar transactions effected by HKSCC have been explained elsewhere (see Sections 8.7 to 8.21, 8.25 and 8.26). In brief, they arise from the following types of corporate actions:-

- (ii) for subscription of rights shares and excess shares in relation to PALsnil paid rights where the subscription monies are payable in an Eligible Currency, HKSCC will issue debit entries to the Participants' Money Ledgers in respect of the appropriate subscription monies upon receipt of the rights subscription and/or excess shares application instructions via CCASS Terminals or the CCASS Internet System for settlement via the relevant Participants' Designated Bank Accounts on the same day via DDIs or CPIs;

14.3.8 Amounts arising out of Stamp Duty Payment Services

The amounts to be debited to Designated Bank Accounts of a Stamp Authorized Person in relation to Stamp Duty Payment Requests are explained in Section 12B.2. In brief, for Stamp Duty Payment Requests, HKSCC will generate EPIs to the Designated Bank of the Stamp Authorized Person for settlement of the stamp duty payment amount determined by the Collector of Stamp Revenue in relation to Stamp Authorized Persons's Stamp Duty Payment Requests pursuant to Section 12B.2.

14.3.9 Amounts arising out of fees charged by ASRs in relation to prescribed securities

ASR fees will be collected from Participants in Hong Kong dollars by EPIs or such other method as shall be acceptable to HKSCC. Without prejudice to any other rights of HKSCC, HKSCC shall be entitled to apply any sums denominated in any currency standing to the credit of any account (including but not limited to any account in Money Ledger or CCMS) with HKSCC of a Participant in satisfaction of any ASR fees due or payable by such Participant.

14.5 ELECTRONIC PAYMENT INSTRUCTIONS

14.5.1 Usage

EPIs are used to effect (i) money settlement between Participants in relation to trade for trade transactions settled in CCASS on a DVP basis (i.e. Isolated Trades, ISI and SI Transactions settled on a DVP basis); (ii) payment of money by Clearing Participants or Custodian Participants to their SSA Statement Recipients in relation to STI Transfers on a DVP basis; (iii) payment of fees and expenses by Participants other than Investor Participants on a weekly basis to HKSCC for CCASS services; ~~and~~ (iv) redelivery to China Connect Clearing Participants of Collateral provided to HKSCC for the early release of China Connect Securities that are Securities-on-hold; (v) payment of money by Stamp Authorized Persons to the Collector of Stamp Revenue for stamp duty payments in relation to Stamp Duty Payment Requests; and (vi) payment of ASR fees.

14.5.2 Procedures

The following is a brief description of the procedures relating to EPIs issued by HKSCC:-

- (i) on any Settlement Day, to effect the payment of ASR fees, HKSCC will generate a debit EPI to the Designated Bank of the relevant Participant;

- (v) Participants other than Investor Participants will be able to obtain their “Settlement Report”, “DDI/DCI/EPI Summary for Participant”, ~~and~~ “Settlement Related EPI Listing” (in respect of trade for trade transactions settled in CCASS on a DVP basis), ~~and~~ “Statements of Money Ledger” (in respect of fees and expenses for CCASS services) (see Section 16.6.1) and “ASR Fees Report” (in respect of ASR fees) (see Section 16.6.1) which contain details of the EPIs for debits and credits to their Designated Bank Accounts. In the case of Investor Participants, activity statements will be posted on the CCASS Internet System and activity statements will also be mailed to Investor Participants who have elected to receive their activity statements by mail on the Business Day following the activities to which the activity statement relates (see Section 16.6.2). In the case of SSA Statement Recipients receiving EPI payment, activity statements including the payment details will be posted on the CCASS Internet System and activity statements will also be mailed to SSA Statement Recipients who have elected to receive their activity statements by mail on the Business Day following the payment to which the activity statement relates (see Section 16.6.8). Activity statements will not be mailed to Investor Participants who have not elected to receive their activity statements by mail and such Investor Participants should enquire the details of their activity statements through the CCASS Internet System; ~~and~~

(va) at the end of each Business Day, based on the calculated stamp duty payment amounts received from the Collector of Stamp Revenue, for each Stamp Duty Payment Request per Stamp Authorized Person, HKSCC will generate a debit EPI with a corresponding credit EPI to the specified bank account of the Collector of Stamp Revenue or its agent. Stamp Authorized Persons can obtain their “Stamp Duty Payment Request Status Report” and “DDI/DCI/EPI Summary for Participant” (see Section 16.6.1) via CCASS Terminals or Participant Gateways; and

14.5.3 Payment confirmation by Designated Banks

- (i) In this Section 14.5.3, “payment confirmation” means a confirmation issued by Designated Banks to HKSCC via their CCASS Terminals stating or confirming that: ~~:-~~
- (a) payments to be made out of the Designated Bank Accounts of Participants other than Investor Participants in response to debit EPIs to effect money settlement in relation to Isolated Trades, SI Transactions on a DVP basis and/or fees and expenses for CCASS services have not been or cannot be made or effected by Designated Banks;
 - (b) payments to be received by the Designated Bank Accounts of Participants other than Investor Participants in response to credit EPIs to effect money settlement in relation to Isolated Trades and/or SI Transactions on a DVP basis have not been or cannot be received or effected by Designated Banks; ~~or~~
 - (c) payments to be made out of the Designated Bank Accounts of the Investor Participants in response to debit EPIs to effect money settlement in relation to ISI Transactions on a DVP basis where the on hold mechanism applies have not been or cannot be made or effected by Designated Banks;
 - (d) payments to be made out of the Designated Bank Accounts of the Stamp Authorized Persons in response to debit EPIs to effect money settlement in relation to Stamp Duty Payment Requests have not been or cannot be made or effected by Designated Banks; or

(e) payments to be made out of the Designated Bank Accounts of Participants in response to debit EPIs to effect money settlement in relation to payment of ASR fees have not been or cannot be received or effected by Designated Banks.

14.5.4 Default of payment

As HKSCC's role in relation to money settlement for (i) trade for trade transactions in CCASS on a DVP basis; and (ii) STI Transfers on a DVP basis is merely that of a facilitator, it will not be responsible for any default in payment in relation to trade for trade transactions settled in CCASS or STI Transfers effected in CCASS by Participants. In case of any payment default in relation to trade for trade transactions, the non-defaulting Participant shall notify HKSCC immediately.

In case of any payment default (including but not limited to a rejected EPI) in relation to ASR fees, HKSCC or its nominee may notify and provide information in relation to the payment default to the relevant ASR.

Accordingly, Participants themselves have to monitor good payment in relation to money settlement by EPIs.

Section 15

Enquiry Services

This Section 15 is not applicable to Registrar Participants.

15.2 USE OF VARIOUS ENQUIRY FUNCTIONS AVAILABLE

The various enquiry functions provided by CCASS that are available for access and the purpose of accessing each such function are set out below:-

(i) Available to Participants other than Investor Participants:-

- (bb) "Enquire Shareholding Category Disclosure" function: to enquire about the details of any Shareholding Category Disclosure made in respect of China Connect Securities; ~~and~~
- (bc) [Repealed]
- (bd) [Repealed]
- (be) "Enquire Multi-counter Settlement Mapping" function: to enquire about the authorized multi-counter settlement mapping; ~~and~~
- (bf) "Enquire Login Deposit/Demat Order" function: to enquire about the details and status of deposit orders.

(ib) Available to Stamp Authorized Persons:-

- (a) “Enquire USI Transfer Request” function: to enquire about the details and status of USI Transfer Requests; and
- (b) “Enquire Stamp Duty Payment Request” function: to enquire about the details and status of Stamp Duty Payment Requests (including the stamp duty payment amount calculated by the Collector of Stamp Revenue) as referred to in Section 12B.2.

15.3 HOURS WHEN SERVICES ARE AVAILABLE

The enquiry services provided by CCASS for Participants other than Investor Participants are usually available for use by such Participants between the hours of 7:15 a.m. and 8:00 p.m., Monday to Friday (except public holiday), except for the CCMS enquiry function which closes at approximately 8:30 p.m., Enquire Sellable Balance Adjustment Request function which closes at approximately 9:00 p.m., Enquire Broadcast Message functions which close at approximately 9:30 p.m., and also between the hours of 8:00 a.m. and 1:00 p.m. on Saturday (except public holiday). These services hours are subject to change as HKSCC may from time to time specify. Enquiry services may be limited when each Batch-settlement-run is in process (see the daily CCASS processing and service schedule set out in Section 6.2).

The enquiry services provided by CCASS for Investor Participants at the Customer Service Centre are usually available between the hours of 9:00 a.m. and 6:00 p.m., Monday to Friday (except public holiday). These services hours are subject to change as HKSCC may from time to time specify.

Section 16

Statements and Reports

This Section 16 is not applicable to Registrar Participants.

16.6 REPORTS AND STATEMENTS FOR PARTICIPANTS

16.6.1 CCASS Reports and Statements for Participants other than Investor Participants

Report ID	Report name	Frequency	Time available <u>(content details)</u>
CCNPT06	Nominee Fees Refund Report	Daily	when the report retrieval is available (for refund of the over-charged — nominee fees arising from multi-counter stocks, i.e. scrip fee — and — dividend collection fee)
CCDCM02	Multi-counter Settlement	Daily	when the report retrieval is available (for active

Report ID	Report name	Frequency	Time available <u>(content details)</u>
	Mapping Data Download File		mapping as of the file generation time)
<u>CCVUM01</u>	<u>USI Transfer Request Activity Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for previous day's USI Transfer Request input activities)</u>
<u>CCVUM02</u>	<u>USI Transfer Request Status Report</u>	<u>Daily</u>	<u>when the report retrieval is available (USI Transfer Request status as at the end of the previous day)</u>
<u>CCVUM03</u>	<u>USI Transfer Request Batch Input Control Report</u>	<u>After each batch validation</u>	<u>shortly after completion of each USI Transfer Request batch validation run (for status of USI Transfer Request batch file uploads)</u>
<u>CCVUM09</u>	<u>Deposit/Demat Order Status Report</u>	<u>Daily</u>	<u>when the report retrieval is available (Deposit/Demat order status as at the end of the previous day)</u>
<u>CCVUM10</u>	<u>Deposit/Demat Order Certificate(s) Detail Report</u>	<u>Daily</u>	<u>when the report retrieval is available (certificate details of Deposit/Demat order updated to "authorised" status as at the end of the previous day)</u>
<u>CCVUM11</u>	<u>Rejected Deposit/Demat Order Certificate(s) Detail Report</u>	<u>Daily</u>	<u>when the report retrieval is available (certificate details of Deposit /Demat order updated to "rejected" or "partially rejected" status as at the end of the previous -day)</u>
<u>CCVUM12</u>	<u>Deposit/Demat Order Maintenance Audit Trail Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for previous day's deposit order input activities and Deposit/Demat order</u>

Report ID	Report name	Frequency	Time available <u>(content details)</u>
			<u>purged by system as at the end of the previous day)</u>
<u>CCVUM13</u>	<u>Deposit/Demat Order Batch Input Control Report</u>	<u>After each batch validation</u>	<u>shortly after completion of each Deposit/Demat Order batch validation run (for status of Deposit/Demat Order batch file uploads)</u>
<u>CSEUM01</u>	<u>Stamp Duty Payment Request Activity Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for daily activities of Stamp Duty Payment Request as at the end of the previous day)</u>
<u>CSEUM02</u>	<u>Stamp Duty Payment Request Status Report</u>	<u>Daily</u>	<u>when the report retrieval is available (Stamp Duty Payment Request status as at the end of the previous day)</u>
<u>CCVUM39</u>	<u>ASR Fees Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for previous day's ASR fees)</u>
<u>CCVWD17</u>	<u>Daily Stock Withdrawal Fee (for Physical Withdrawal) Collection Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for previous day's stock withdrawal fee arising from physical withdrawal)</u>
<u>CCVWD18</u>	<u>Daily Stock Withdrawal Fee (for USI transfer) Collection Report</u>	<u>Daily</u>	<u>when the report retrieval is available (for previous day's stock withdrawal fee arising from USI transfer)</u>
<u>CCDPC03</u>	<u>Monthly Stock Custody Fee Collection Report</u>	<u>Monthly</u>	<u>when the report retrieval is available on the first Business Day of each month (for previous month's portfolio values of each calendar day for calculating stock custody fee)</u>

Report ID	Report name	Frequency	Time available <u>(content details)</u>
<u>CCDPC04</u>	<u>CCASS Membership Fee Collection Report</u>	<u>Yearly & ad hoc</u>	<u>when the report retrieval is available on the first Business Day of each year (for previous portfolio values of each calendar day for calculating membership fee) or on the first Business Day of the month after its termination from CCASS (applicable to the terminated participants only)</u>

16.6.2 Statements for Investor Participants

An activity statement will be posted on and available to Investor Participants via the CCASS Internet System. The activity statement will also be sent to an Investor Participant who has elected to receive the activity statement by mail on the Business Day after (a) input of any instructions by the Investor Participant relating to nominees and settlement activities, or (b) receipt of benefit distribution, or (c) there is any movement in the Eligible Securities under the Stock Account of the Investor Participant. The following sections are included in the activity statement:-

(vii) Deposit/Demat Order Activities Section: Deposit/Demat Order activities are listed.

(viii) ASR Fees Section: ASR fees charged to Participants are listed.

In addition, a monthly statement will be posted on and available to Investor Participant via the CCASS Internet System. The monthly statement will also be sent to an Investor Participant who has elected to receive the monthly statement by mail. The monthly statement will contain details of the money ledger and stock account movements of the Investor Participant for the past month, the billing details and balances of all the stocks in the Stock Accounts of the Investor Participant, and include the following sections:-

(ii) Stock Balance Section:- The stock balances, reference value of the stocks and calculation of custody fee for bonds (which includes (a) bearer Debt Securities, (b) Exchange Fund Notes, (c) Government Bonds, (d) Specified Instruments, and (e) CMU Instruments) and foreign securities stock maintenance fees are shown.

(v) ~~[Repealed] Scrip Fee Calculation Section : Detail calculation of scrip fee is shown.~~

(viii) Stock Custody Fee Section: Calculation of stock custody fee (excluding custody fees for bonds and foreign securities covered in (ii) above) is shown.

Section 17

Suspension of Services

This Section 17 is not applicable to Registrar Participants.

17.2 TYPHOONS, EXTREME CONDITIONS AND RAINSTORMS

17.2.4 Depository services

The ~~services and facilities-physical outlet~~ of the CCASS Depository for delivery and collection of certificates will normally ~~cease~~close fifteen minutes after a Typhoon Signal No. 8 or above is hoisted or Extreme Conditions are announced and will normally resume two hours after the Typhoon Signal is lowered and Extreme Conditions are cancelled (where applicable) at or before 12:00 noon on a Business Day. If the Typhoon Signal is still hoisted or Extreme Conditions are still in force at 12:00 noon on a Business Day, ~~there will be no the physical outlet of the~~ CCASS Depository will not be open services for the day and no delivery or collection of certificates to or from deposits or withdrawals can be made into or out of the CCASS Depository will be available.

The ~~physical outlet services and facilities~~ of the CCASS Depository will remain open available if a Black Rainstorm Warning is issued at or after 9:00 a.m. on a Business Day. When a Black Rainstorm Warning is issued before 9:00 a.m. and is cancelled at or before 12:00 noon on a Business Day, ~~the physical outlet of the~~ CCASS Depository ~~services~~ will normally resume operations two hours after the cancellation of such warning. When a Black Rainstorm Warning is issued before 9:00 a.m. and remains in effect at 12:00 noon on a Business Day, ~~the physical outlet of the~~ CCASS Depository ~~services or facilities~~ will not be in operation available on that day and no delivery or collection of certificates to or from deposits or withdrawals can be made into or out of the CCASS Depository will be available.

17.2.4A Depository services on the last registration day

In relation to Eligible Securities listed on the Exchange which are subject to book-close dates or record date without book closure, the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) (and the latest time) before book-close or record date to submit Eligible Securities for registration to qualify for corporate entitlements may be extended in certain circumstances and accordingly, the latest time by which Participants may deposit Eligible Securities into CCASS to qualify for the relevant corporate entitlements through CCASS may also be extended (as well as the period during which no further deposits or withdrawals of relevant Eligible Securities will be allowed).

For the avoidance of doubt, if a Typhoon Signal No. 8 or above is hoisted or Extreme Conditions are announced, or if a Black Rainstorm Warning is issued, facilities for depositing and withdrawing participating securities by way of submitting USI Transfer Requests electronically via CCASS Terminal will generally continue to be available, subject to the processing and registration confirmation by the relevant Registrar Participants.

The general position for the deposits and withdrawals of Eligible Securities involving certificates in general is explained further below:-

- (i) if a Typhoon Signal No. 8 or above is lowered and/or Extreme Conditions are cancelled (where applicable) at or before 12:00 noon on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (or in the case of Debt Securities in bearer form, on the CCASS Record Date imposed by HKSCC), the latest time for submission of relevant Eligible Securities for registration will, under the Exchange's Listing Rules, be deferred to 5:00 p.m. on the same day. In such a case, the time limit for delivery of certificates for deposits and collection of certificates for withdrawals of relevant Eligible Securities by Participants will also be extended from the normal 12:00 noon to 2:30 p.m. on that day (i.e. the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date, or the CCASS Record Date imposed by HKSCC, as the case may be);
- (ia) if only a Black Rainstorm Warning is issued before 9:00 a.m. and is cancelled at or before 12:00 noon on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date, the latest time for submission of relevant Eligible Securities for registration will, as stipulated under the Exchange's Listing Rules, be deferred to 5:00 p.m. on the same day. In such case, the time limit for delivery of certificates for deposits and collection of certificates for withdrawals of relevant Eligible Securities by Participants will also be extended from the normal 12:00 noon to 2:30 p.m. on that day (i.e. the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date);
- (ii) if a Typhoon Signal No. 8 or above is hoisted and/or Extreme Conditions are announced between 3:00 p.m. and 4:00 p.m. on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (or in the case of Debt Securities in bearer form, on the CCASS Record Date imposed by HKSCC) but the Typhoon Signal is lowered or Extreme Conditions are cancelled (where applicable) at or before 9:00 a.m. on the next business day, then under the Exchange's Listing Rules, the latest time for submission of relevant Eligible Securities for registration will be deferred to ~~12:00 noon~~ 4:00 p.m. on the following business day (or 5:00 p.m., if the Typhoon Signal is only lowered or Extreme Conditions are only cancelled (where applicable) after 9:00 a.m. but at or before 12:00 noon on that following business day).

In such a case, the normal CCASS deadline of 12:00 noon for delivery of certificates for deposits and 2:00 p.m. for collection of certificates for withdrawals on the original last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (or on the CCASS Record Date imposed by HKSCC, as the case may be) for the purpose of participating in relevant corporate entitlements through CCASS will remain but delivery of certificates for deposits or collection of certificates for withdrawals of relevant Eligible Securities into or out of CCASS will not be allowed until 12:00 noon on the following business day (or for the rest of the following business day, if the Typhoon Signal is lowered and Extreme Conditions are cancelled (where applicable) between 9:00 a.m. and 12:00 noon on that day);

- (iia) if only a Black Rainstorm Warning is issued at or after 9:00 a.m. on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer)

issuer) before book-close or record date, then as stipulated under the Exchange's Listing Rules, the latest time for submission of relevant Eligible Securities for registration will remain ~~unchanged at 4:00 p.m.~~ on that day. In such case, the normal CCASS deadline of 12:00 noon on the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (for the purpose of participating in relevant corporate entitlements through CCASS) will remain;

- (iii) In other cases where under the Exchange's Listing Rules the last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (or in the case of Debt Securities in bearer form, the CCASS Record Date imposed by HKSCC) is extended to 4:00 p.m. on the following business day, the normal CCASS deadline of 12:00 noon for delivery of certificates for deposits and 2:00 p.m. for collection of certificates for withdrawals on the original last registration day (for submitting transfers of securities in certificated form, as specified by the relevant issuer) before book-close or record date (or on the CCASS Record Date imposed by HKSCC, as the case may be) for the purpose of participating in relevant benefits entitlements through CCASS will also be extended to 12:00 noon on that following business day and, thereafter for the rest of that day, no further delivery of certificates for deposits and collection of certificates for withdrawals of Eligible Securities ~~into or out of CCASS~~ will be accepted.

17.2.5 Nominee services

In relation to corporate action entitlements, the date for determining eligibility of corporate actions will remain unchanged notwithstanding any severe weather conditions. HKSCC will determine the eligibility of Participants' entitlements with reference to their relevant securities holdings in CCASS as at the original last registration date (for submitting transfers of securities in certificated form, as specified by the relevant issuer) even if ~~the such~~ last registration date is postponed (as stipulated under the Exchange's Listing Rules) due to the hoisting of Typhoon Signal No.8 or above, the announcement of Extreme Conditions or the issuance of a Black Rainstorm Warning. Participants which have lodged and completed the deposit or withdrawal of the ~~physical certificates of the~~ relevant securities ~~with CCASS~~ by (as applicable): (a) depositing or withdrawing the relevant certificates; or (b) successfully completing the relevant USI Transfer Request, by the postponed last registration date will have the relevant entitlements in CCASS adjusted accordingly to reflect the respective deposit and withdrawal if necessary.

Section 18

Guarantee Fund

This Section 18 is not applicable to Registrar Participants.

Section 19

Financial and Accounting Requirements

Only Section 19.2.3A in this Section 19 is applicable to Registrar Participants.

19.1 FINANCIAL REQUIREMENTS

19.1.1 General

Other than certain financial requirements applicable to certain types of Participants to qualify for their admission into and continuing participation in HKSCC, Participants will be notified by HKSCC if any additional financial requirements are to be imposed by HKSCC in the future.

For convenience, the financial commitments which Participants may have as a result of participation in HKSCC are set out in Section 19.1.2. Clearing Participants will have additional financial commitments as a result of participation in HKSCC and for convenience, these are set out in Section 19.1.3.

It is the responsibility of each Participant to comply with all financial requirements applicable to it under relevant statutes or regulations.

19.1.2 Financial commitments of Participants

In summary, the main financial commitments of a Participant as a result of its participation in HKSCC will include:-

- (i) payment of admission fee (if applicable) to HKSCC at the time of admission;
- (ii) the provision of assurances (e.g. insurance) in respect of its obligations to HKSCC, which may be required by HKSCC at the time of admission or thereafter from time to time;
- (iii) responsibility for defective Eligible Securities deposited into CCASS;
- (iv) payment in respect of money obligations arising out of the settlement of transactions in CCASS on a DVP basis and money obligations in respect of nominee transactions effected in CCASS; and
- (v) payment to HKSCC in respect of costs and expenses of HKSCC's services and facilities and, in the case of services relating to China Connect Securities, fees, expenses, levies and taxes collected by HKSCC for the relevant China Connect Clearing House or other regulatory or tax authority.

19.2.3 Information and returns

All (i) GCPs which are not Exchange Participants, (ii) Clearing Agency Participants, (iii) Custodian Participants, (iv) Stock Lender Participants, and (v) Stock Pledgee Participants are required to submit to HKSCC their audited accounts as soon as they are available.

19.2.3A Audited accounts of Registrar Participants

All Registrar Participants are required to submit to HKSCC their audited accounts as soon as they are available.

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Section 20

Disciplinary Action

20.1 INFORMATION

20.1.1 Information

A Participant shall, as and when required, provide HKSCC in writing with information ~~about~~ regarding its business and transactions in ~~CCASS-Eligible Securities~~ (in the case of a Participant other than a Registrar Participant), or its processes in any System (in the case of Registrar Participants), for the purposes of:-

- (a) satisfying HKSCC that the Rules are being complied with; and
- (b) protecting the integrity of the Systems and the operations of HKSCC.

20.2 MONITORING AND INVESTIGATIONS

20.2.2 Investigation and information

HKSCC may, for the purposes of obtaining information during any investigation of any matter which it considers relevant to its functions:-

- (a) require the production by a Participant of documents and other material in the Participant's or its Settlement Agent's possession, custody, power or control and, if any such documents or material cannot be produced, require the Participant to state to the best of its knowledge and belief where and in whose possession, custody, power or control such documents and materials are;
- (b) interview any director, partner, principal, officer, employee, trainee, agent or representative of a Participant and require him to answer questions and provide explanations or otherwise require answers and explanations from the Participant, and record such answers and explanations electronically or otherwise;
- (c) require the attendance, upon reasonable notice, of a director, partner, principal, officer, employee, trainee, agent or representative of a Participant at a specified date, time and place, to answer questions, provide explanations and/or give evidence.~~;-~~

provided that HKSCC may exercise its powers under this Section 20.2.2 against a Registrar Participant only in respect of its breach or alleged breach of the Rules or the Participant Agreement.

20.4 ACTS OF MISCONDUCT

20.4.1 Grounds for disciplinary action

HKSCC may institute disciplinary proceedings against a Participant in respect of an act of misconduct committed or reasonably believed to have been committed by it. An act of misconduct includes:-

- (o) if the Participant is a China Connect Clearing House, a failure to comply with any China Connect Clearing House qualification requirements or any other conditions or requirements for its continued registration as a China Connect Clearing House, or a failure to comply with any provisions of, or any of its obligations under Chapter 42 of the Rules and other related provisions in the Rules and Operational Procedures, including those applicable to a Clearing Agency Participant which is a China Connect Clearing House; ~~and~~
- (p) if the Participant is a FINI CP User, a failure to comply with any FINI PFR or any money settlement or other obligations with respect to its Electronic Application Instructions for New Issue Shares; and
- (q) if the Participant is a Registrar Participant, a failure to comply with: (a) any Registrar Participant Admission Criteria or any conditions or requirements for its continued participation as a Registrar Participant; or (b) the Registrar Participant Manual, with respect to any participating securities for which it is providing securities registrar services.

For the avoidance of doubt, paragraphs (l) to (p) of this Section 20.4.1 do not apply to Registrar Participants.

20.4A. DISCIPLINARY ACTIONS AGAINST REGISTRAR PARTICIPANTS

Notwithstanding anything to the contrary in the Rules, HKSCC shall not initiate disciplinary proceedings or take disciplinary action against Registrar Participants as set out in this Section 20 without the consent of the Commission.

Section 21

Costs and Expenses

This Section 21 is not applicable to Registrar Participants and Investor Participants.

21.5 DEPOSITORY AND NOMINEE SERVICES

- Stock deposit fee for the deposit of ~~certificates representing~~ Eligible Securities ~~other than China Connect Securities~~ into CCASS. NIL

Note:

~~Stock deposit fee for initial/bulk deposit of eligible bearer Debt Securities will be nil.~~

Although HKSCC does not charge a stock deposit fee for such deposit, one-off set-up fee, transfer and registration fee and (where applicable) transactional dematerialisation fee may be

charged by the ASR in relation to prescribed securities. Details of such fees are set out in Section 21.5B. Any such fees will be borne by the Participant.

- Stock withdrawal fee for registered Eligible Securities ~~other than China Connect Securities.~~

Notes:

The gross value of Eligible Securities (other than Debt Securities) refers to their closing price on the trading day immediately preceding the date they are debited from the Stock Account, and for Debt Securities, refers to their nominal value.

Fee debited on the day of withdrawal the securities are debited from the Stock Account.

~~Fee inclusive of registration and transfer fee charged by HKSCC.~~

HKSCC may, on the written application of Participants, waive the stock withdrawal fee if: (i) the withdrawal of securities from CCASS is to exercise registered holders' right, or to move the securities from the Hong Kong register of holders to an overseas register of holders; and (ii) any additional requirements or criteria to be satisfied for such waiver, as stipulated by HKSCC from time to time, are satisfied. HKSCC may charge a handling fee of HK\$1,000 per application. registration and transfer fee included in the stock withdrawal fee levied on Participants (which cease to participate in CCASS) due to business restructuring, cessation of business or liquidation or death of Participants

0.015% of the gross value subject to a minimum fee of HK\$10 per withdrawal order HK\$3.50 per Board Lot. Odd lot also charged at HK\$3.50 each. Transfer deed stamp duty of HK\$5 for each certificate, if any, will be borne by the Participant.

~~(if an individual) to the extent that HKSCC has made such charge at the previous collection date of the relevant Eligible Securities other than China Connect Securities.~~

~~No waiver of the registration and transfer fee included in the stock withdrawal fee shall be allowed by HKSCC on any application by a Participant if the Participant has also applied for and HKSCC has granted the registration and transfer fee concession hereinafter mentioned as a result of such an application.~~

Fee not applicable to Eligible Securities which are Foreign Securities or China Connect Securities.

- Stock withdrawal fee for ~~other~~ HK\$10 per withdrawal order ~~non-Eligible Securities or securities which have been discontinued as Eligible Securities.~~ per Board Lot for registered securities or HK\$1 per certificate for bearer securities. ~~Odd lot also charged at HK\$1 each.~~

Notes:

This may include ~~un~~non-certificated or delisted bearer securities.

Discontinued Eligible Securities by reason of delisting or expiry are also covered ~~(eg. Expired warrants).~~

Fee debited on the day the securities are debited from the Stock Account.

Fee not applicable to Foreign Securities, ~~or~~ China Connect Securities or securities entitlements which are non-Eligible Securities.

- Stock withdrawal fee for Foreign Securities. HK\$600 per instruction.

Notes:

Fee debited on the date of completion of withdrawal.

Fee also applicable to the withdrawal of securities entitlements accruing from Foreign Securities which ~~do not constitute~~ are non-Eligible Securities.

Out-of-pocket expenses incurred by HKSCC, if any, will be borne by the Participant.

- Stock withdrawal fee for securities entitlements which are non-Eligible Securities.

~~HK\$1 per Board Lot~~ HK\$10 per withdrawal order for registered securities or HK\$1 per certificate for bearer securities. ~~Odd lot also charged at HK\$1 each.~~

Notes:

Fee debited on the day the securities are debited from the Stock Account.

Fee not applicable to Foreign Securities, ~~or~~ China Connect Securities or securities entitlements accruing from Foreign Securities which are non-Eligible Securities.

- Stock custody fee for the custody of a Participant's securities representing registered securities (excluding (i) Exchange Fund Notes, (ii) Government Bonds, (iii) Specified Instruments, (iv) CMU Instruments, (v) Foreign Securities and (vi) China Connect Securities) held in CCASS.

Accrued daily at fixed cumulative percentage per annum on the Participant's total daily stock portfolio value of registered securities as follows:-

<u>Total daily stock portfolio value (HK\$)</u>	<u>Annual rate (%)</u>
<u>On the first 10 billion</u>	<u>0.006250%</u>
<u>>10 billion up to 20 billion</u>	<u>0.006000%</u>
<u>>20 billion up to 30 billion</u>	<u>0.005000%</u>
<u>>30 billion up to 40 billion</u>	<u>0.004500%</u>

Notes:

Fee calculated on aggregate ~~month-end stock quantity balances~~ daily stock portfolio value in Stock Accounts of ~~the each~~ Participant and collected on a monthly basis.

~~The daily stock portfolio value shall be determined at day end using the latest available closing price of registered securities in such accounts on the relevant day. For securities that have undergone automatic conversion (for share sub-divisions or consolidations and stock conversions) in CCASS on the last Business Day of a month, the stock quantity balance and board lot before such automatic conversion will be used for calculation of the stock custody fee for that month.~~

~~Fee debited at end of each calendar month on the first Business Day of the following calendar month.~~

~~Fee not applicable to Foreign Securities or China Connect Securities.~~

~~Fee not applicable to a China Connect Clearing House.~~

~~— Registration and transfer fee.~~

~~Notes:~~

~~HKSCC may incur payments for re-registration of registered Eligible Securities as well as non-Eligible Securities and in relation to adjustments for entitlements in respect of late deliveries under the CNS System.~~

~~In relation to portfolio transfer of registered securities from Clearing and/or Custodian Participants' Stock Accounts to the Investor Participant's Stock Account in CCASS by ISI Transactions without trade data value input within the first ten Settlement Days from the date of opening of the investor account and for which HKSCC has~~

>40 billion up to 100 billion	0.003500%
>100 billion up to 500 billion	0.003000%
>500 billion up to 1,000 billion	0.002000%
>1,000 billion up to 3,000 billion	0.001500%
Above 3,000 billion	0.000875%

~~HK\$0.012 per Board Lot subject to a maximum of HK\$100,000 per month per Participant. Odd lots also charged at HK\$0.012 each.~~

~~HK\$1.50 per Board Lot on net increase in aggregate holdings in Board Lots of registered securities in balances in the Stock Accounts of a Participant since the date on which fee was last collected by HKSCC. Odd lots also charged at HK\$1.50 each.~~

~~NIL for Exchange Fund Notes, Government Bonds, Specified Instruments, CMU Instruments and Foreign Securities.~~

~~granted registration and transfer fee concession to the Investor Participant; the number of Board Lots representing such transfer will be deducted from the aggregate holdings in Board Lots in the Stock Accounts balances of the Clearing and/or Custodian Participant for the purpose of calculating the registration and transfer fee payable by such Clearing and/or Custodian Participant.~~

~~Fee is debited on one of the following collection dates:-~~

- ~~(i) The last registration date of a corporate event of which a book close date / record date is announced by the issuer of registered securities for determining the registered holders and their registered holdings that qualify for receipt of cash and non-cash entitlements, (other than for receipt of out of money rights issue entitlements determined by reference to the closing nominal prices of the underlying securities on the first ex date, i.e., two trading days prior to the relevant book close date / record date, for attendance at meetings and votings solely without receipt of any entitlement and for stock conversion into other Eligible Securities only);~~
- ~~(ii) Event date of corporate actions other than share splitting, share consolidation, stock conversion into other Eligible Securities or corporate actions involving~~

~~no cash distribution to the registered holders).~~

~~Fee is subject to revision if registration and transfer fee is changed by share registrars.~~

~~Fee not applicable to China Connect Securities.~~

~~Fee not applicable to China Connect Clearing House.~~

~~HKSCC may, on written applications of Participants, grant concessions to the Participants with respect to all or part of the registration and transfer fee and HKSCC may charge a handling charge of HK\$1,000 per application. HKSCC shall stipulate the circumstances, and the criteria to be satisfied, for the grant from time to time.~~

~~Concession may be granted on a written application by the Participants if their CCASS participantship is altered due to their business restructuring.~~

~~A concessionary registration and transfer fee of HK\$2.50 per certificate will be charged in respect of large denomination registered share/Debt Securities certificates deposited in CCASS instead of the normal registration and transfer fee. Each such registered share/Debt Securities certificate must represent at least 1,000 Board Lots. Such fee will be debited at the time of deposit. The number of Board Lots represented by such large denomination registered share/Debt Securities certificates will not be included in the calculation of the normal registration and transfer fee~~

~~debited on the relevant collection date.~~

21.5A MEMBERSHIP FEE

— Membership fee

Notes:

Fee debited on the first Business Day of the following calendar year.

The daily stock portfolio value shall be determined at day end using the latest available closing price of registered securities (excluding China Connect Securities) in such accounts on the relevant day.

For the year in which a Participant is first admitted, (i) the applicable fee tier shall be determined based on the average of the daily stock portfolio value over the period from the date of the admission to the end of the calendar year, and (ii) the membership fee will be pro-rated based on the number of calendar months during which the Participant is admitted.

For the year in which a Participant's participantship is terminated, (i) the applicable fee tier shall be determined based on the average of the daily stock portfolio value over the period from the start of the calendar year to the date of termination, and (ii) the membership fee will be pro-rated based on the number of calendar months during which the Participant was admitted. Such fee will be debited on the first Business Day of the calendar month following such termination.

Annual fee based on the average of the daily stock portfolio value of registered securities in the Participant's Stock Accounts over the calendar year as follows:-

- HK\$12,000 for portfolio value up to HK\$1 billion
- HK\$50,000 for portfolio value above HK\$1 billion and up to HK\$20 billion
- HK\$150,000 for portfolio value above HK\$20 billion

Fee not applicable to a China Connect Clearing House.

Transitional arrangement:

For the period from the implementation date to 31 December 2026, (i) the applicable fee tier shall be determined based on the average of the daily stock portfolio value over such period, and (ii) the membership fee will be pro-rated based on the number of calendar months between the implementation date and 31 December 2026. The foregoing arrangement shall not apply to a Participant admitted on or after the implementation date.

21.5B FEES CHARGED BY ASR IN RELATION TO PRESCRIBED SECURITIES

- | | |
|--|---|
| <p>— <u>Transfer and registration fee charged by the relevant ASR to process and register a transfer of prescribed securities in certificated form to HKSCC or its nominee in connection with a deposit of those securities into CCASS, irrespective of whether they are already registered in the name of HKSCC or its nominee.</u></p> | <p><u>Actual fee charged by the relevant ASR.</u></p> |
|--|---|

Notes:

The fee will be collected in HKD by EPI or such other method as shall be acceptable to HKSCC. Any refund received from the relevant ASR will be returned to the relevant Participant.

- | | |
|--|---|
| <p>— <u>Transactional dematerialisation fee charged by the relevant ASR for converting prescribed securities registered or to be registered in the name of HKSCC or its nominee from certificated form into uncertificated form.</u></p> | <p><u>Actual fee charged by the relevant ASR.</u></p> |
|--|---|

Notes:

Fee only covers the dematerialisation of securities that a Participant deposits into CCASS on or after a date as determined by HKSCC from time to time, such date being a number of Business Days prior to the participation date for those securities.

The fee will be collected in HKD by EPI or such other method as shall be acceptable to HKSCC. Any refund received from the relevant ASR will be returned to the relevant Participant.

- One-off set-up fee charged by the relevant ASR per prescribed securities (i.e., per stock code) held in CCASS at the end of the Business Day immediately preceding its participation date for: (i) converting all units of such prescribed securities then held in CCASS from certificated form into uncertificated form; and (ii) setting up a facility for HKSCC or its nominee with such ASR to hold and manage any units of such prescribed securities held in CCASS in uncertificated form.

Notes:

The daily stock portfolio value shall be determined at day end using the latest available closing price of registered securities (excluding China Connect Securities) in such accounts on the relevant day.

This fee (i) is to be paid once per prescribed securities on its participation date; and (ii) shall be paid by each Participant who holds any units of such prescribed securities in CCASS at the end of the Business Day immediately preceding the participation date.

In relation to each prescribed securities, this fee will be collected

A fixed amount per prescribed securities, determined based on the average of the daily stock portfolio value of registered securities in the Participant's Stock Account over the preceding calendar year as follows:-

- HK\$50 for portfolio value up to HK\$1 billion
- HK\$100 for portfolio value above HK\$1 billion and up to HK\$20 billion
- HK\$560 for portfolio value above HK\$20 billion

in HKD by EPI or such other method as shall be acceptable to HKSCC.

Subject to the transitional arrangements below, in respect of a Participant that is admitted in the calendar year of or preceding the relevant participation date, the one-off set-up fee shall be determined based on the average of the Participant's daily stock portfolio value over the period from the date of its admission to:-

- (i) the end of the calendar year of its admission;
- (ii) where such calendar year has not yet ended, the last day of the calendar month immediately preceding the relevant participation date; or
- (iii) where the calendar month of its admission has not yet ended, the day immediately preceding the relevant participation date.

Transitional arrangements:

In respect of a Participant admitted before the implementation date:-

- (i) for a participation date that falls during the period from the implementation date to 31 December 2026 (inclusive), this fee shall be determined based on the average of the Participant's daily stock portfolio value between the implementation date and the last day of the calendar month immediately preceding the relevant participation date; and
- (ii) for a participation date that falls during the period from 1 January 2027 to 31 December

2027 (inclusive), this fee shall be determined based on the average of the Participant's daily stock portfolio value between the implementation date and 31 December 2026.

Section 22

Tariff for Investor Participants

22.2 DEPOSITORY AND NOMINEE SERVICES

- Stock deposit fee for the deposits of ~~certificates representing~~ Eligible Securities into CCASS payable by Investor Participant. NIL

Notes:

~~Stock deposit fee for initial/bulk deposit of eligible bearer Debt Securities will be nil.~~

Although HKSCC does not charge a stock deposit fee for such deposit, one-off set-up fee, transfer and registration fee and (where applicable) transactional dematerialisation fee may be charged by the ASR in relation to prescribed securities. Details of such fees are set out in Section 22.2A. Any such fees will be borne by the Investor Participant.

Bearer debt securities will not be accepted for deposit into CCASS by Investor Participants except from the issuer or issuer's agent for initial issue.

- Stock withdrawal fee for registered Eligible Securities payable by Investor Participant. 0.015% of the gross value subject to a minimum fee of HK\$10 per withdrawal order~~HK\$3.50 per Board Lot, subject to a minimum fee of HK\$20 per withdrawal order. Odd lot also charged at HK\$3.50 each. Transfer deed stamp duty of~~

Notes:

The gross value of Eligible Securities (other than Debt

Securities) refers to their closing price on the trading day immediately preceding the date they are debited from the Stock Account, and for Debt Securities, refers to their nominal value.

~~HK\$5 for each certificate, if any, will be borne by the Investor Participant.~~

Fee debited on the day of withdrawal the securities are debited from the Stock Account.

~~Fee inclusive of the registration and transfer fee charged by HKSCC.~~

HKSCC may, on the written application of the Investor Participants, waive the stock withdrawal fee if: (i) the withdrawal of securities from CCASS is to exercise registered holders' right, or to move the securities from the Hong Kong register of holders to an overseas register of holders; and (ii) any additional requirements or criteria to be satisfied for such waiver, as stipulated by HKSCC from time to time, are satisfied. HKSCC may charge a handling fee of HK\$1,000 per application, registration and transfer fee included in the stock withdrawal fee levied on Investor Participants (who cease to participate in CCASS) due to business restructuring, cessation of business, liquidation or death of Participants (if an individual) to the extent that HKSCC has made such charge at the previous collection dates of the relevant Eligible Securities.

No waiver of the registration and transfer fee included in the stock withdrawal fee shall be allowed by HKSCC on any application by an Investor Participant if the Investor Participant has also

~~applied for and HKSCC has granted the registration and transfer fee concession hereinafter mentioned as a result of such an application.~~

Fee not applicable to Eligible Securities which are Foreign Securities.

- Stock withdrawal fee for ~~other~~ non-Eligible Securities or securities which have been discontinued as Eligible Securities, payable by Investor Participant.

Notes:

This may include ~~unnon-~~certificated or delisted bearer securities.

Discontinued Eligible Securities by reason of delisting or expiry are also covered ~~(e.g. expired warrants).~~

Fee debited on the day ~~of withdrawal~~ the securities are debited from the Stock Account.

Fee not applicable to Foreign Securities or securities entitlements which are non-Eligible Securities.

- Stock withdrawal fee for securities entitlements which are non-Eligible Securities, payable by Investor Participant.

Notes:

Fee debited on the day ~~of withdrawal~~ the securities are debited from the Stock Account.

Fee not applicable to Foreign Securities or securities entitlements accruing from

~~HK\$10 per withdrawal order~~ HK\$1 per Board Lot for registered securities or HK\$1 per certificate for bearer securities, the latter of which is subject to a minimum fee of HK\$~~1~~20 and maximum fee of HK\$3,000 per withdrawal order. ~~Odd lot also charged at HK\$1 each.~~

~~HK\$1 per Board Lot~~ HK\$10 per withdrawal order for registered securities or HK\$1 per certificate for bearer securities, the latter of which is subject to a minimum fee of HK\$~~1~~20 and maximum fee of HK\$3,000 per withdrawal order. ~~Odd lot also charged at HK\$1 each.~~

Foreign Securities which are non-Eligible Securities.

- Stock withdrawal fee for Foreign Securities. HK\$600 per instruction.

Notes:

Fee debited on the date of ~~submission~~ completion of ~~instruction~~ withdrawal.

Fee also applicable to the withdrawal of securities entitlements accruing from Foreign Securities which ~~do not constitute~~ are non-Eligible Securities.

Out-of-pocket expenses incurred by HKSCC, if any, will be borne by the Investor Participant.

- Stock custody fee for the custody of an Investor Participant's securities representing registered securities (excluding (i) Exchange Fund Notes, (ii) Government Bonds, (iii) Specified Instruments, (iv) CMU Instruments, and (v) Foreign Securities) held in CCASS payable by Investor Participant. Accrued daily at fixed cumulative percentage per annum on the Investor Participant's total daily stock portfolio value of registered securities, subject to a minimum fee of HK\$20 per month and a maximum fee of HK\$3,000 per month per Stock Account of the Investor Participant, as follows:-

Notes:

Fee calculated on aggregate daily stock portfolio value in Stock Accounts of the Investor Participant and collected on a monthly basis.

The daily stock portfolio value shall be determined at day end using the latest available closing price of registered securities in such accounts on the relevant day.

Fee debited on the first Business Day of the following calendar month.

<u>Total daily stock portfolio value (HK\$)</u>	<u>Annual rate (%)</u>
<u>On the first 10 billion</u>	<u>0.006250%</u>
<u>>10 billion up to 20 billion</u>	<u>0.006000%</u>
<u>>20 billion up to 30 billion</u>	<u>0.005000%</u>
<u>>30 billion up to 40 billion</u>	<u>0.004500%</u>
<u>>40 billion up to 100 billion</u>	<u>0.003500%</u>
<u>>100 billion up to 500 billion</u>	<u>0.003000%</u>
<u>>500 billion up to 1,000 billion</u>	<u>0.002000%</u>

~~For securities that have undergone automatic conversion (for share sub-divisions or consolidations and stock conversions) in CCASS on the last Business Day of a month, the stock quantity balance and board lot before such automatic conversion will be used for calculation of the stock custody fee for that month.~~

~~For the avoidance of doubt, Investor Participants who do not hold any registered securities in CCASS on any day in a given month will not be subject to the stock custody fee for that month.~~

~~Fee not applicable to Foreign Securities.~~

- ~~— Registration and transfer fee payable by Investor Participant.~~

~~Notes:~~

~~HKSCC may incur payments for re-registration of registered Eligible Securities as well as non-Eligible Securities and in relation to adjustments for entitlements in respect of late deliveries under the CNS System.~~

~~Fee is debited on one of the following collection dates:-~~

- ~~(i) The last registration date of a corporate event of which a book close date / record date is announced by the issuer of registered securities for determining the registered holders and their registered holdings that qualify for receipt of cash and non-cash entitlements, (other than for~~

>1,000 billion up to 3,000 billion	0.001500%
Above 3,000 billion	0.000875%

~~HK\$0.012 per Board Lot subject to a minimum fee of HK\$20 per month and a maximum fee of HK\$3,000 per month per investor account. Odd lots also charged at HK\$0.012 each.~~

~~HK\$1.50 per Board Lot on net increase in aggregate holdings in Board Lots of registered securities in balances in the Investor Stock Account since the date on which fee was last collected by HKSCC. Odd lots also charged at HK\$1.50 each.~~

~~NIL for Exchange Fund Notes, Government Bonds, Specified Instruments, CMU Instruments and Foreign Securities.~~

~~receipt of out of money rights issue entitlements determined by reference to the closing nominal prices of the underlying securities on the first ex date, i.e., two trading days prior to the relevant book close date / record date, for attendance at meetings and votings solely without receipt of any entitlement and for stock conversion into other Eligible Securities only);~~

- ~~(ii) Event date of corporate actions (other than share splitting, share consolidation, stock conversion into other Eligible Securities or corporate actions with no cash distribution to the registered holders); or~~

~~Fee is subject to revision if registration and transfer fee is changed by share registrars.~~

~~HKSCC may, on written applications of Investor Participants, grant concessions to Investor Participants with respect to all or part of the registration and transfer fee and HKSCC may charge a handling charge of HK\$1,000 per application. HKSCC shall stipulate the circumstances, and the criteria to be satisfied, for the grant from time to time.~~

~~Concession may be granted on stock balances representing portfolio transferred by ISI Transactions without trade value data input from other Participant Stock Accounts to an Investor Stock Account within the first ten~~

~~Settlement Days from the date of opening of the investor account.~~

~~A concessionary registration and transfer fee of HK\$2.50 per certificate will be charged in respect of large denomination registered share/Debt Securities certificates deposited in CCASS instead of the normal registration and transfer fee. Each such registered share/Debt Securities certificate must represent at least 1,000 Board Lots. Such fee will be debited at the time of deposit. The number of Board Lots represented by such large denomination registered share/Debt Securities certificates will not be included in the calculation of the normal registration and transfer fee debited on the relevant collection date.~~

22.2A FEES CHARGED BY ASR IN RELATION TO PRESCRIBED SECURITIES

- | | |
|---|---|
| <p>== <u>Transfer and registration fee charged by the relevant ASR to process and register a transfer of prescribed securities in certificated form to HKSCC or its nominee in connection with a deposit of those securities into CCASS, irrespective of whether they are already registered in the name of HKSCC or its nominee.</u></p> | <p><u>Actual fee charged by the relevant ASR.</u></p> |
| <p><u>Notes:</u>
The fee will be collected in HKD by EPI or such other method as shall be acceptable to HKSCC. Any refund received from the relevant ASR will be returned to the relevant Investor Participant.</p> | |
| <p>== <u>Transactional dematerialisation fee charged by the relevant ASR for converting prescribed</u></p> | <p><u>Actual fee charged by the relevant ASR.</u></p> |

securities registered or to be registered in the name of HKSCC or its nominee from certificated form into uncertificated form.

Notes:

Fee only covers the dematerialisation of securities that an Investor Participant deposits into CCASS on or after a date as determined by HKSCC from time to time, such date being a number of Business Days prior to the participation date for those securities.

The fee will be collected in HKD by EPI or such other method as shall be acceptable to HKSCC. Any refund received from the relevant ASR will be returned to the relevant Investor Participant.

- One-off set-up fee charged by the relevant ASR per prescribed securities (i.e., per stock code) held in CCASS at the end of the Business Day immediately preceding its participation date for: (i) converting all units of such prescribed securities then held in CCASS from certificated form into uncertificated form; and (ii) setting up a facility for HKSCC or its nominee with such ASR to hold and manage any units of such prescribed securities held in CCASS in uncertificated form. HK\$20 per prescribed securities.

Notes:

This fee (i) is to be paid once per prescribed securities on its participation date; and (ii) shall be paid by each Investor Participant who holds any units of such prescribed securities in CCASS at the end of the Business Day immediately preceding the participation date.

In relation to each prescribed securities, this fee will be collected in HKD by EPI or such other method as shall be acceptable to HKSCC.

Section 23

Tariff for Issuers

23.2 ADMISSION OF SECURITIES

- EIPO processing fee for Electronic Application Instructions for New Issue Shares as input by a Participant via FINI.

Note:

Fee is payable by Issuers or ~~share~~securities registrars on behalf of Issuers.

HK\$10 per instruction, subject to a minimum of HK\$5,000 per New Issue and a maximum of 0.3% of (i) fund raising size in the case of a successful New Issue or (ii) intended fund raising size in the case of an unsuccessful New Issue.